

STATE OF CLIMATE TECH Q3 2024

A Net Zero Insights' quarterly analysis on global funding and deal activity in the private market venture space.

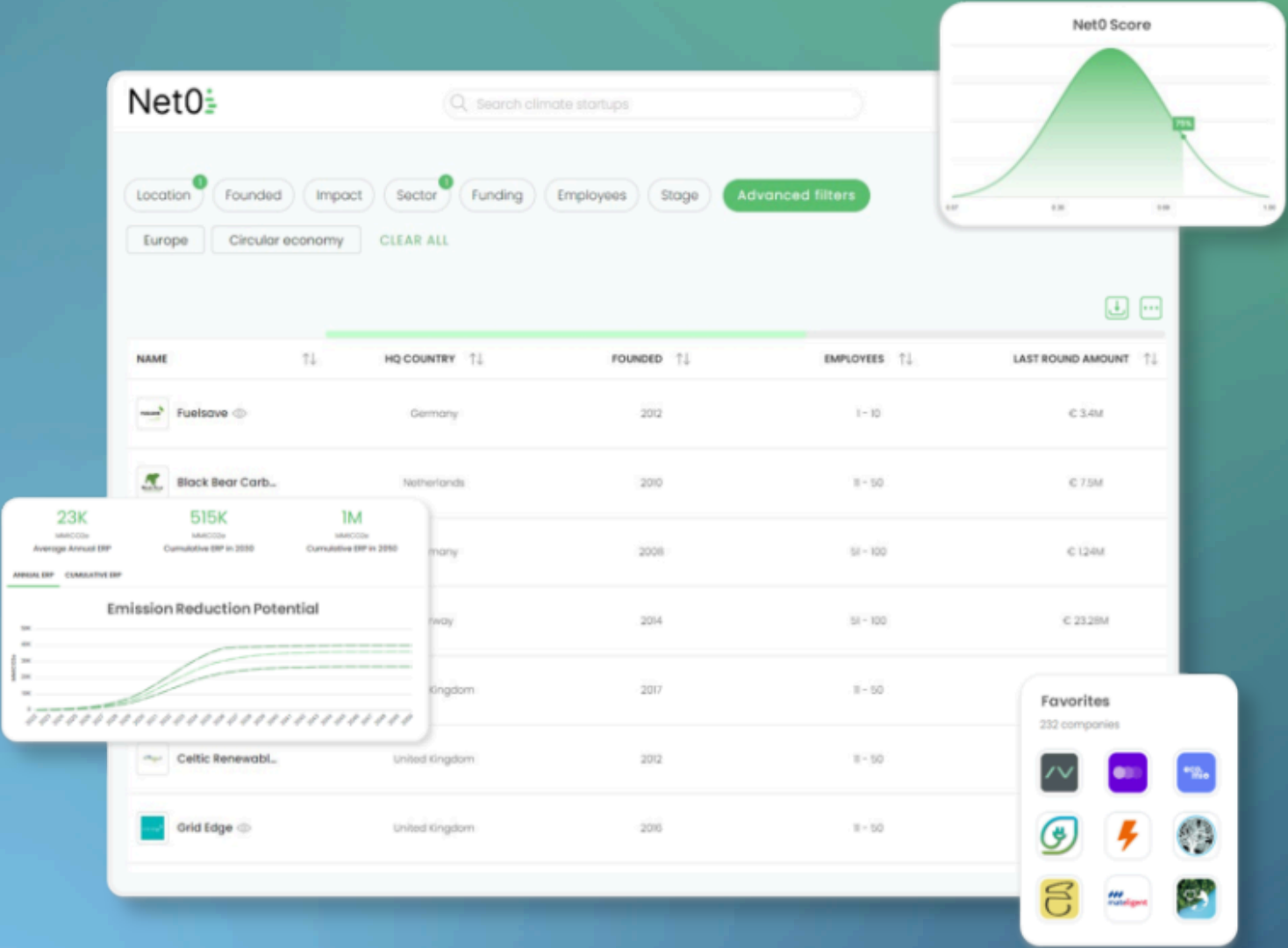


MARKET INTELLIGENCE FOR CLIMATE TECH

Net Zero Insights is the leading data and research platform for Climate Tech.

The Net0 Platform provides access to thousands of startups/SMEs, deals, and investors, allowing users to spot new innovations, trends, and deals in the rapidly evolving world of climate technology.

Investors, corporates, researchers and business developers use our platform to identify new solutions and keep track of emerging trends and opportunities.



[Book a demo](#)

WHAT IS INCLUDED IN THE STATE OF CLIMATE TECH QUARTERLY EDITION?

The Q3 reports compare investment activity into climate tech solutions with historical data to see where the industry is heading.

We analyse investments based on three components:

- **Our Product-Innovation Framework:** This determines if a company is building a breakthrough climate tech solution, and if it's software or hardware.
- **Venture Stage:** We group companies based on how much funding they've raised. From pre-seed to exit.
- **Capital Stack:** The analysis includes equity, debt, and grant funding to provide a full view of the climate tech sector.



SCOPE HIGHLIGHTS

- [Climate Tech](#) deal and funding
- Venture and exit activity
- Challenge areas
- Innovation stakeholders

For further details and definitions regarding the scope of the report, please consult the methodology section.



Q3 2024
IN REVIEW

KEY TAKEAWAYS

2024 FUNDING ON TRACK TO SLIGHTLY SURPASS 2023.

After a slowdown in 2023, will climate tech funding rebound in 2024?

EQUITY DEAL ACTIVITY CONTINUES TO DECLINE.

Equity deals remain in a downturn, a strong Q4 rebound is essential to end 2024 positively.

NORTH AMERICA EMERGES STRONGER IN Q3 2024.

While investment activity slowed in Europe, North America maintained a steady pace of investments.

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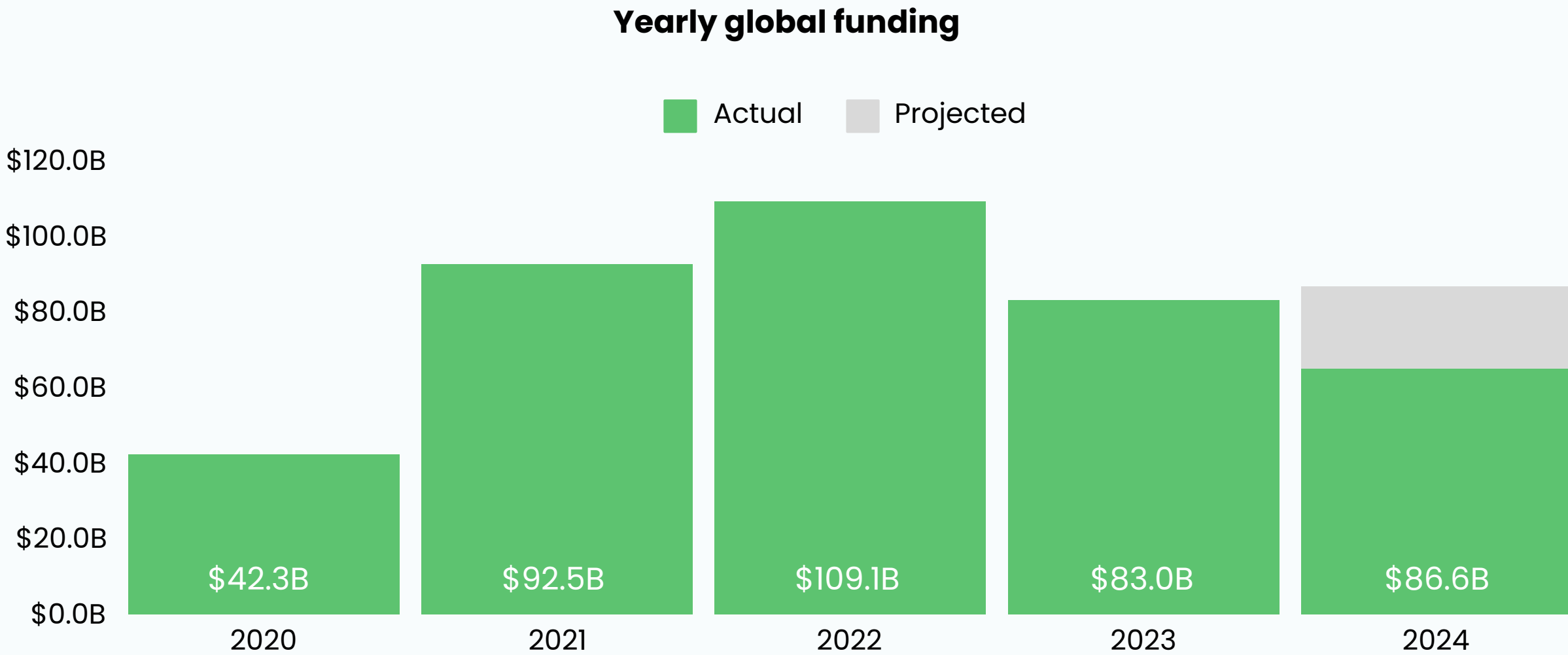
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PART 1

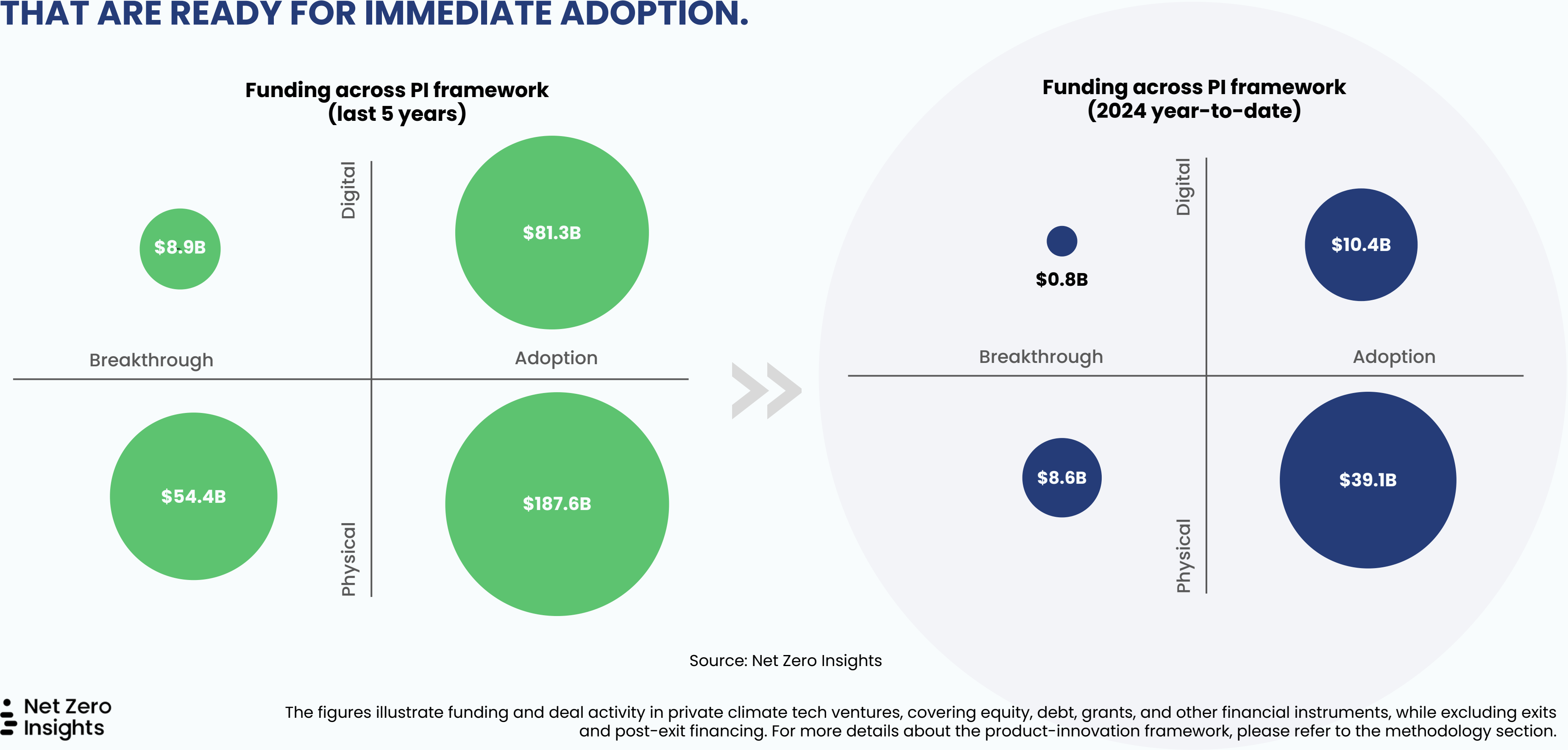
OVERVIEW

GLOBAL CLIMATE TECH FUNDING IN 2024 IS SET TO SURPASS 2023, BUT FULL RECOVERY IS STILL FAR OFF.

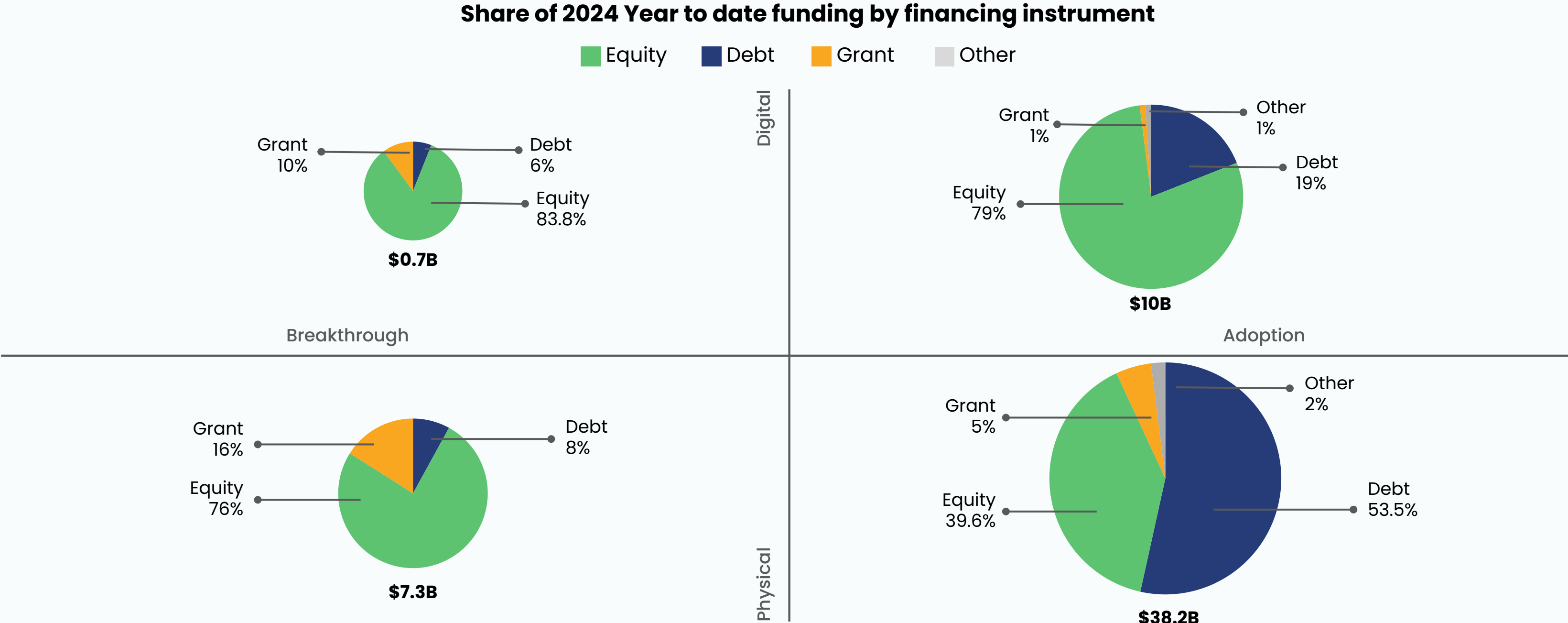


Source: Net Zero Insights

INVESTORS CONTINUE TO FAVOR PHYSICAL SOLUTIONS THAT ARE READY FOR IMMEDIATE ADOPTION.



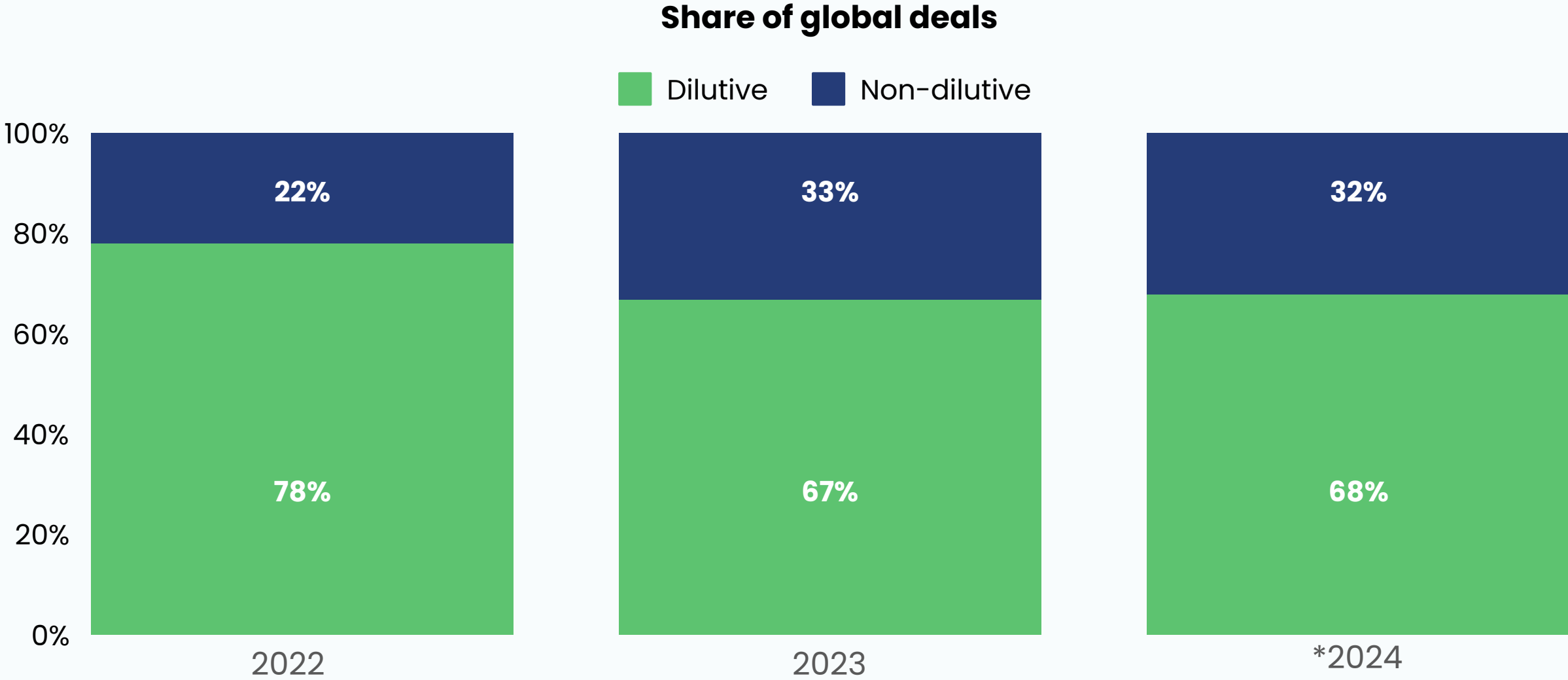
DEBT DRIVES ADOPTION OF PHYSICAL SOLUTIONS, WHILE EQUITY FUELS EMERGING INNOVATION.



Source: Net Zero Insights

The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing. For more details about the product-innovation framework, please refer to the methodology section.

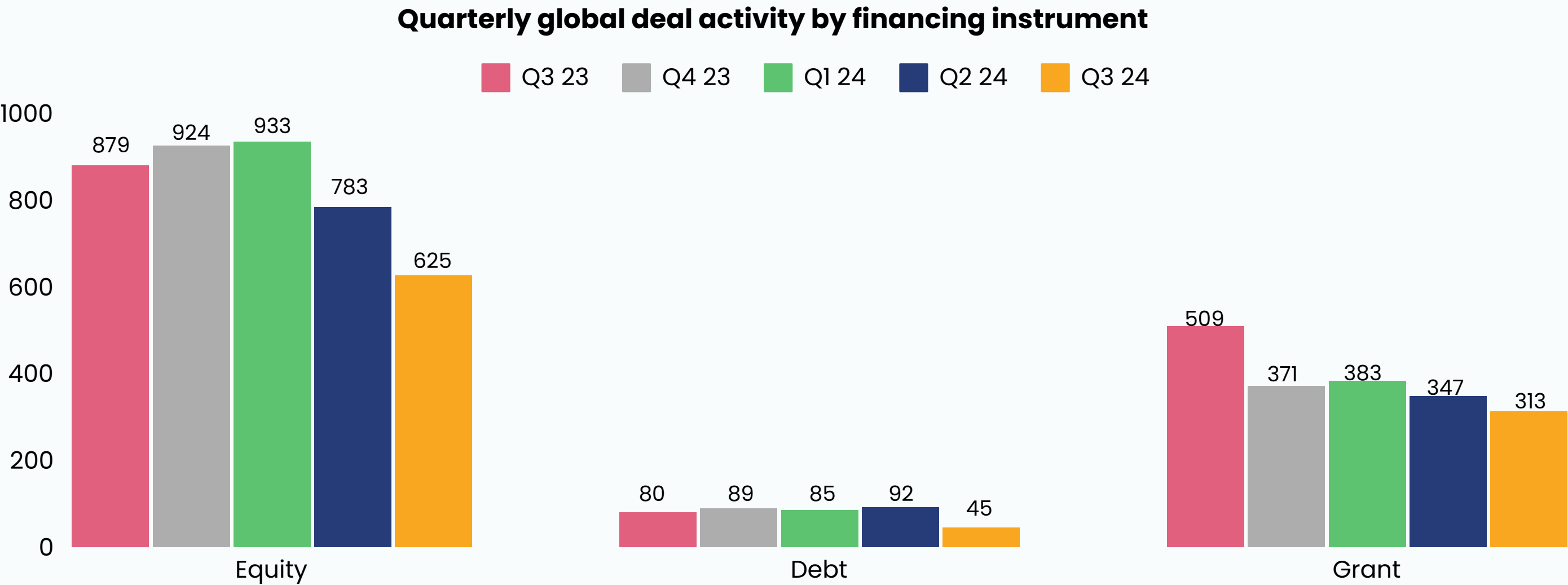
NON-DILUTIVE FUNDING IS GROWING, MAKING UP ONE-THIRD OF DEALS IN 2023 AND 2024.



Source: Net Zero Insights

The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing.

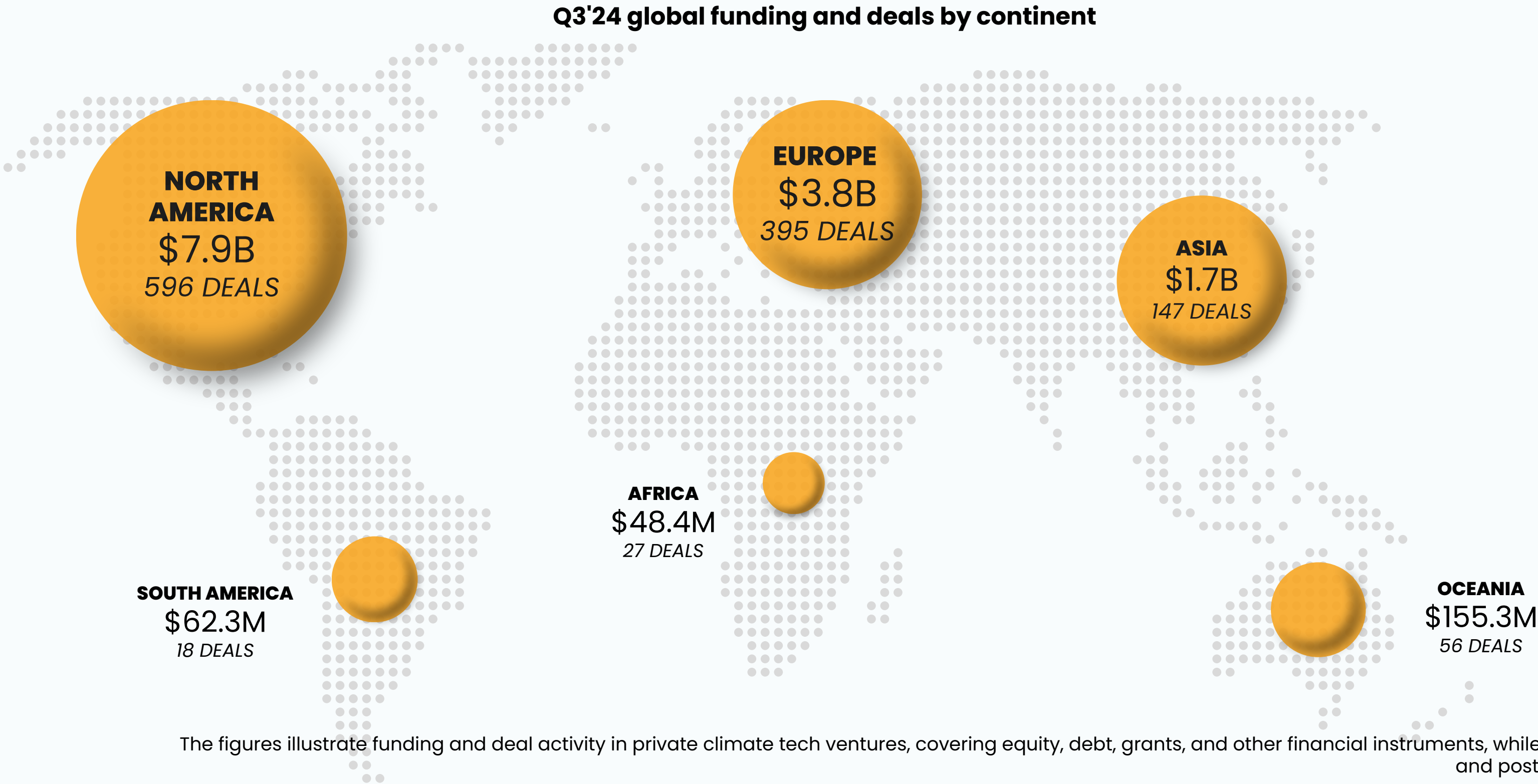
EQUITY DEAL ACTIVITY IS SHARPLY DECLINING IN 2024, WITH DEBT AND GRANTS ALSO GOING DOWN.



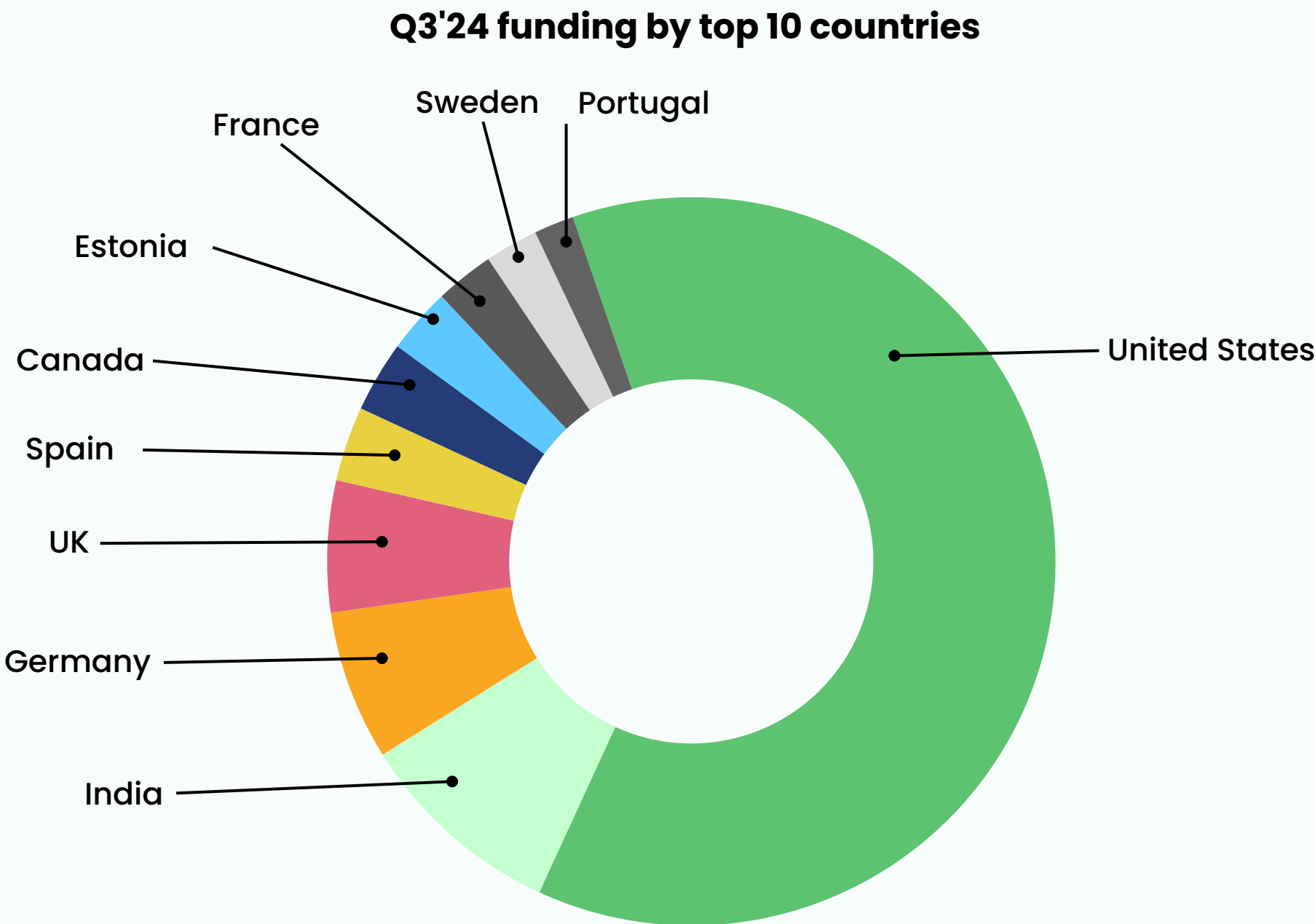
Source: Net Zero Insights

The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt and grants, while excluding exits and post-exit financing.

AS EUROPE'S INVESTMENT ACTIVITY SLOWS IN Q3 2024, NORTH AMERICA SEES AN UPTICK.



THE US DOMINATES IN TOTAL DEALS AND FUNDING, WITH INDIA, GERMANY, THE UK, AND SPAIN FOLLOWING.



Source: Net Zero Insights

Country	Raised	Deals
United States	\$7.6B	696
India	\$1.1B	46
Germany	\$809.6M	87
United Kingdom	\$710.4M	125
Spain	\$403.5M	24
Canada	\$384.1M	63
Estonia	\$354.9M	7
France	\$318.5M	45
Sweden	\$287.4M	27
Portugal	\$215.6M	13

SACRAMENTO STANDS OUT AS AN OUTLIER IN FUNDING, WHILE CAMBRIDGE LEADS IN DEAL VOLUME.

Top 10 cities in Q3'24 by funding

ORGANISATION HQ CITY		FUNDING		DEALS
SACRAMENTO		\$1.1B		3
NEW YORK CITY		\$482M		31
BERKELEY		\$466M		9
BENGALURU		\$348M		15
SAN FRANCISCO		\$285M		29
TALLINN		\$278M		8
HYDERABAD		\$216M		7
STOCKHOLM		\$187M		10
MUNICH		\$184M		13
CAMBRIDGE		\$176M		33

Source: Net Zero Insights

2024 HAS SEEN A GROWING INTEREST IN EARLY-STAGE TECHNOLOGIES.

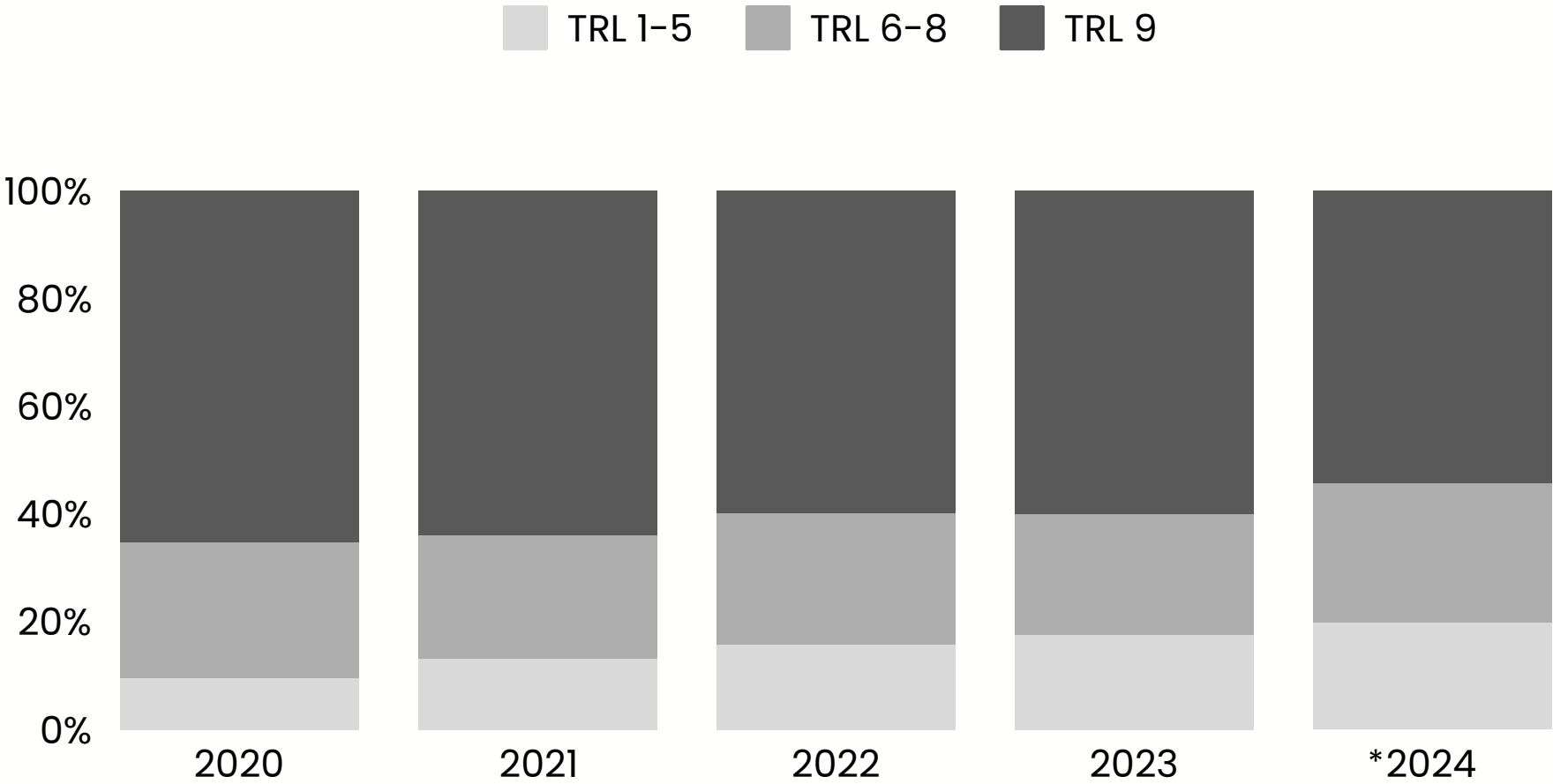


Deals in mature technologies (TRL 9) have been steadily decreasing as investors shift their focus towards early-stage startups.

This trend suggests that while the climate tech industry is maturing, there is still significant room for new innovations and solutions.

At the same time, mid-stage technologies (TRL 6-8) have maintained a relatively stable share. The increase to 25.4% in 2024 indicates growing interest in technologies approaching commercialization, offering investors a balanced mix of risk and market readiness.

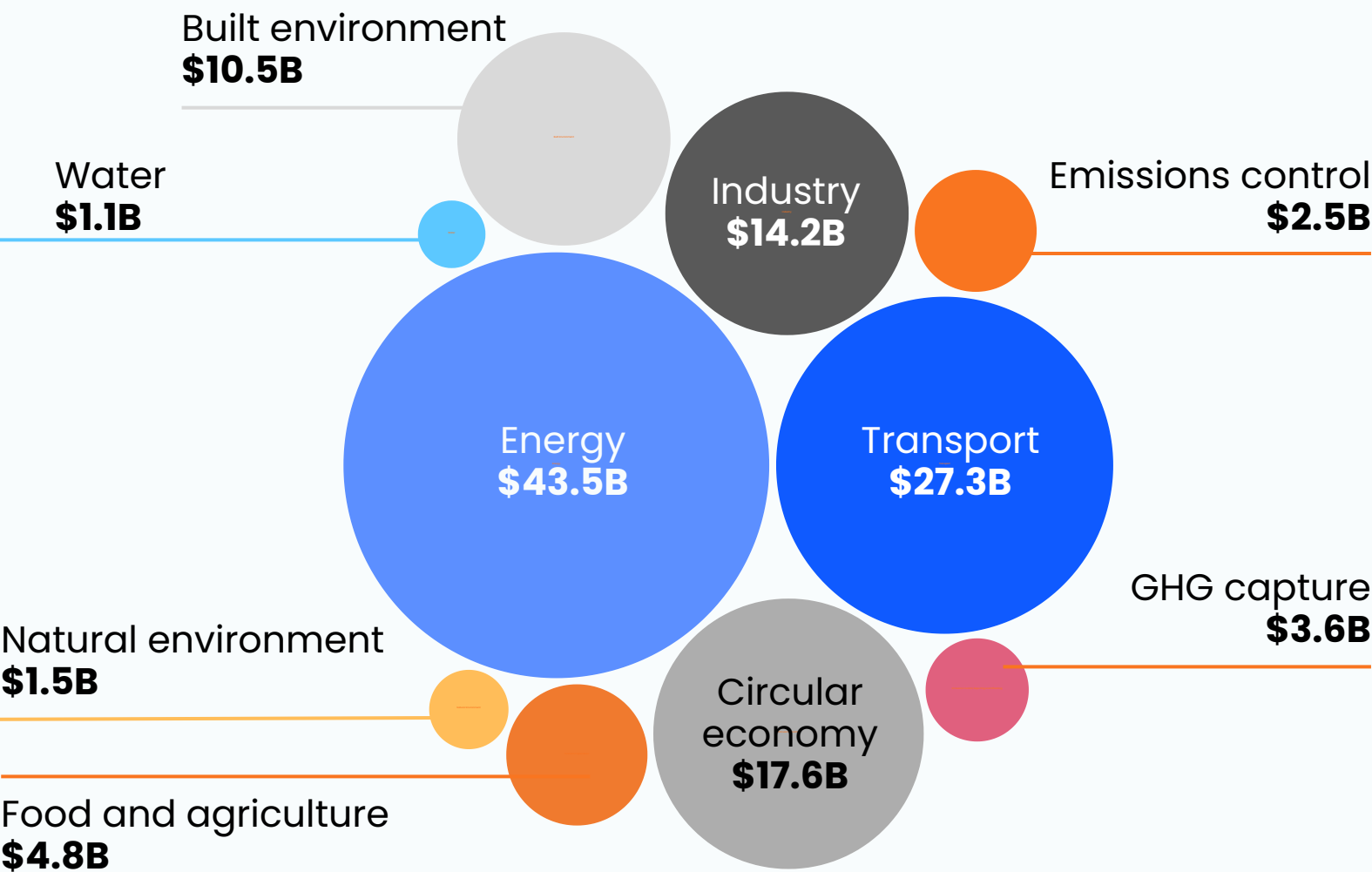
Yearly share of global deals by TRL



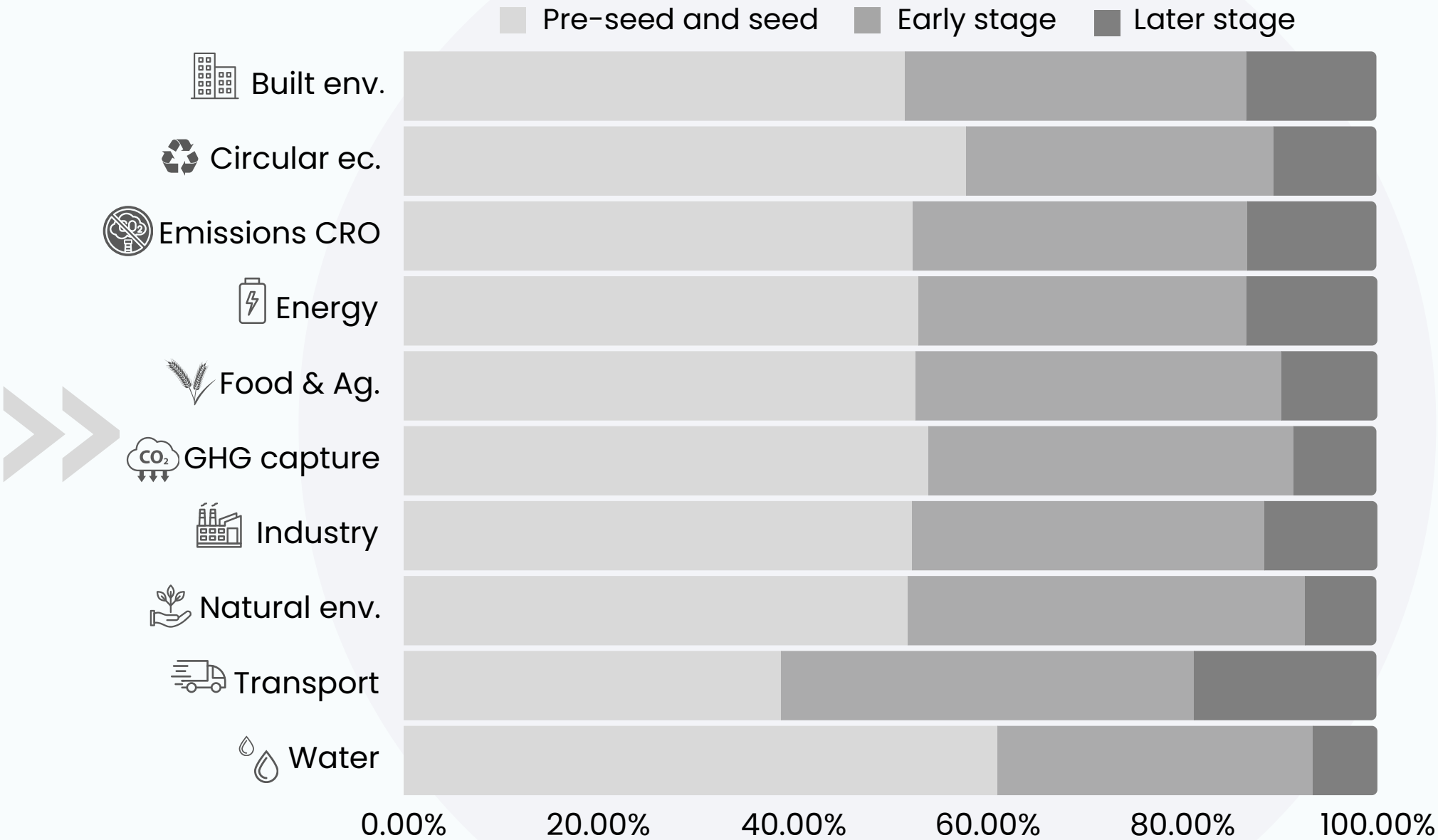
Source: Net Zero Insights

ENERGY, TRANSPORT, AND CIRCULAR ECONOMY THE MOST FUNDED , WITH TRANSPORT ATTRACTING THE HIGHEST NUMBER OF LATER-STAGE DEALS.

2024 global funding by climate change challenge area



2024 global deals by capital stage



Source: Net Zero Insights

The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing. An organisation can fall into multiple categories, potentially being counted more than once. For more details about the climate change challenge areas, please refer to the [methodology](#) section.

1

OVERVIEW



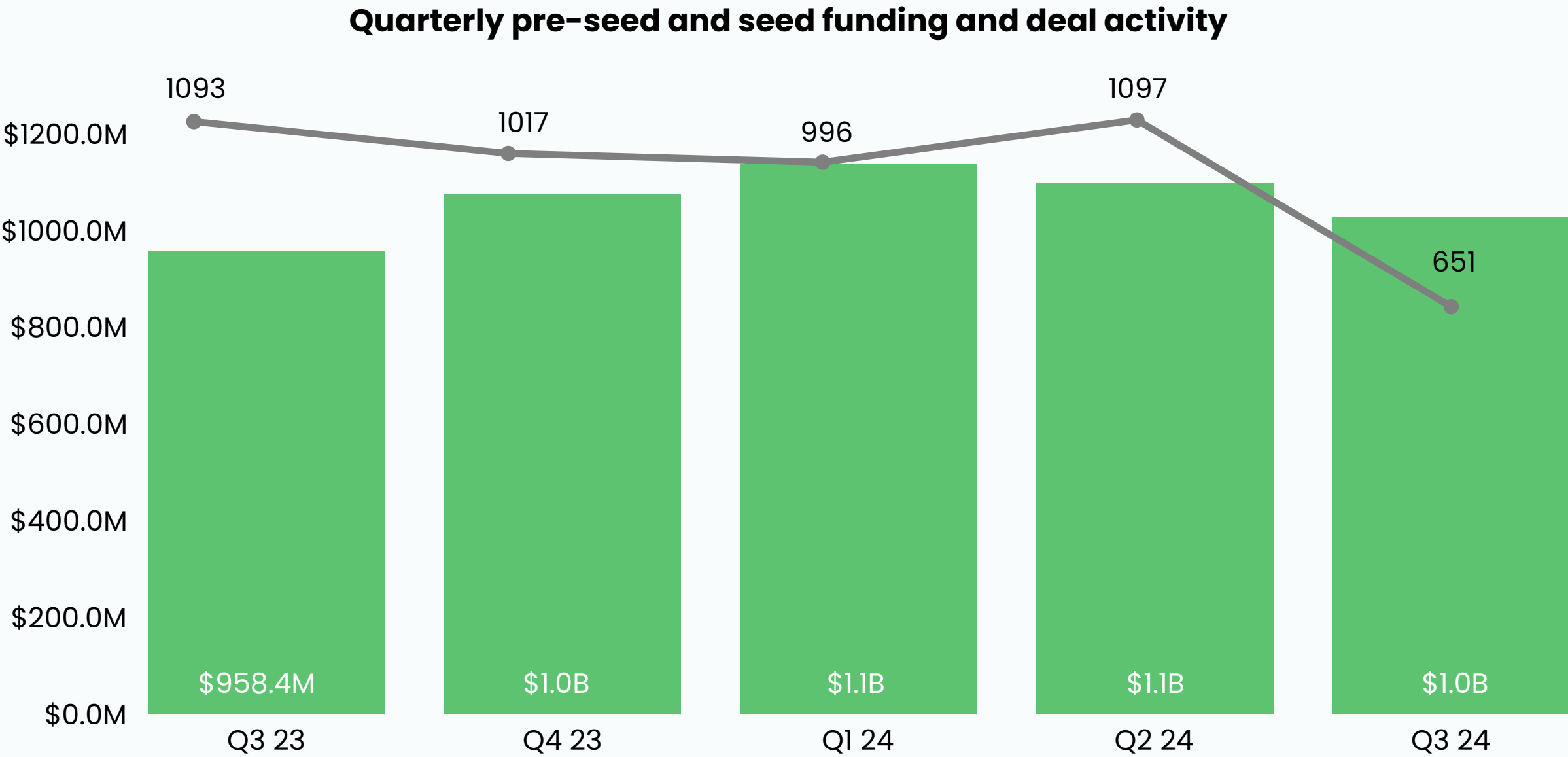
pre-seed and seed

early stage

later stage

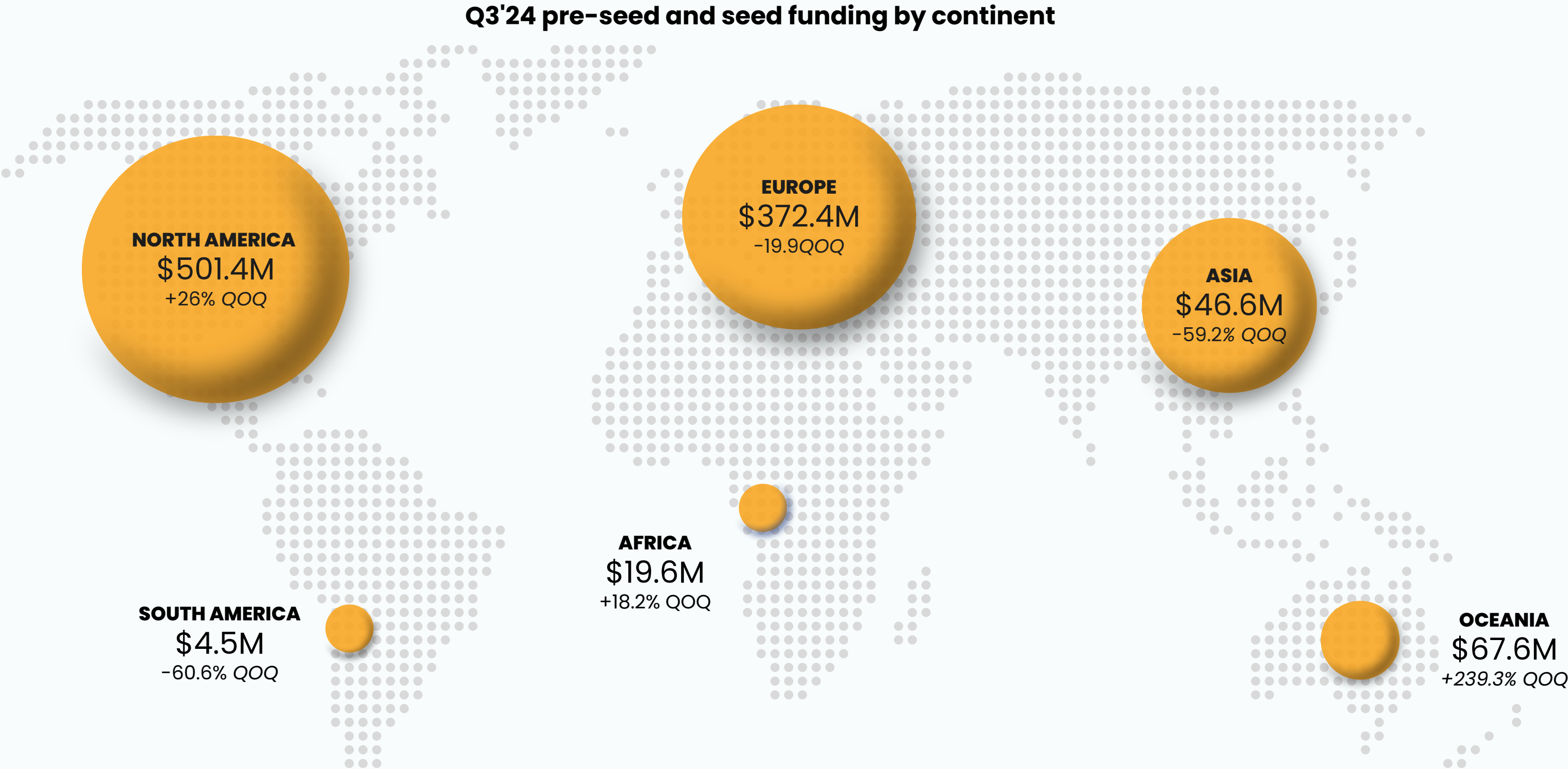
exits

2024 PRE-SEED AND SEED FUNDING IS STEADY, BUT DEAL ACTIVITY HAVE DROPPED, INDICATING FEWER BUT LARGER DEALS.



Source: Net Zero Insights

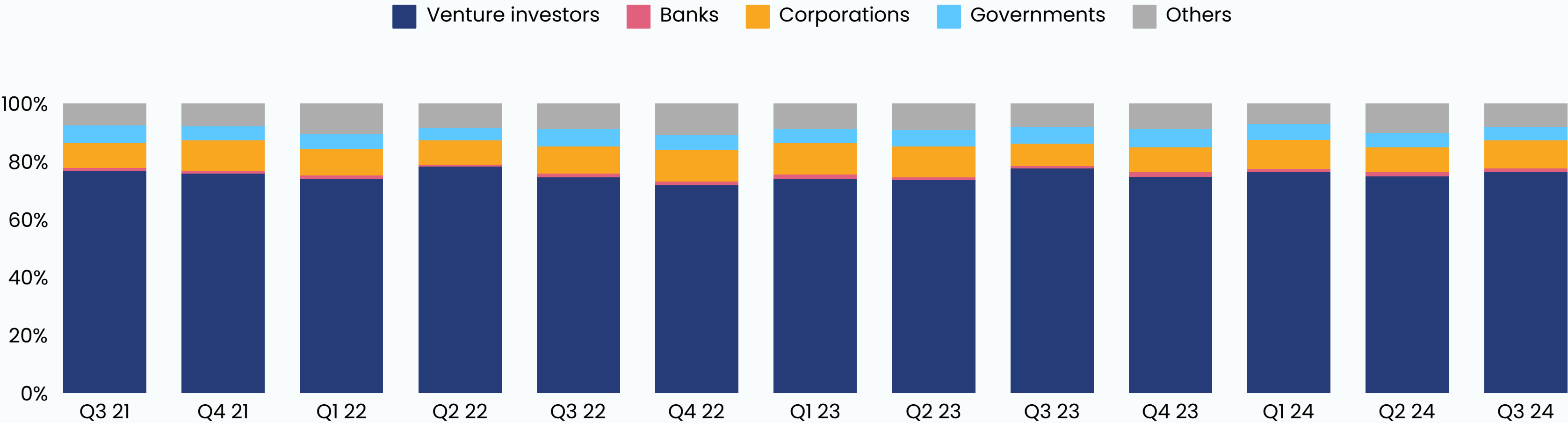
Q3'24 PRE-SEED AND SEED FUNDING DECLINES ACROSS MOST CONTINENTS, WHILE NORTH AMERICA REBOUNDS.



The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing.

VENTURE INVESTORS LEAD THE CHARGE IN POWERING PRE-SEED AND SEED INVESTMENTS.

Quarterly share of investors participating in pre-seed and seed deals by investor type



Source: Net Zero Insights

A deal can be participated by multiple investors, potentially being counted more than once. The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing. For more details about the investor types categories, please refer to the methodology section.

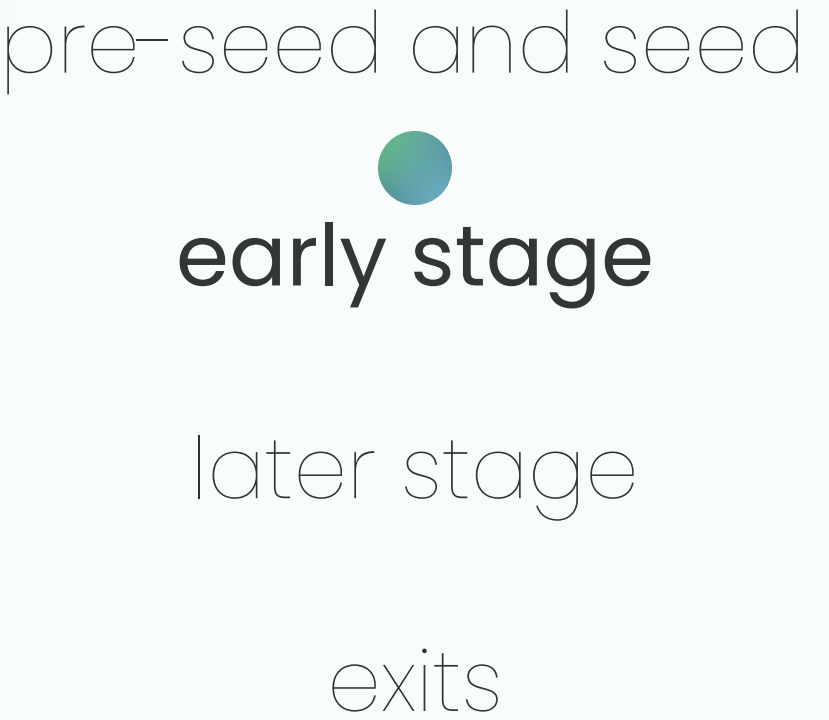
FROM ALTERNATIVE PROTEINS TO NUCLEAR ENERGY, THESE ARE THE TOP PRE-SEED AND SEED DEALS IN Q3 2024.

Company	Amount	HQ Country	Tags	Read More
	\$22.2M	DENMARK	#Alternative proteins	Link
	\$17M	UNITED STATES	#Sustainable fertilizers	Link
	\$14M	UNITED STATES	#Food Quality #SaaS	Link
	\$12M	UNITED STATES	#Plant-based fermented food	Link
	\$11.9M	UNITED KINGDOM	#Sustainable Biomaterials	Link
	\$10.58M	UNITED STATES	#Nuclear Energy	Link
	\$10M	ISRAEL	#CCUS	Link
	\$10M	UNITED STATES	#EV #Batteries	Link
	\$9.42M	FRANCE	#Machine learning #decarbonisation	Link
	\$9M	UNITED KINGDOM	#Electricity Trading #Grid Management	Link

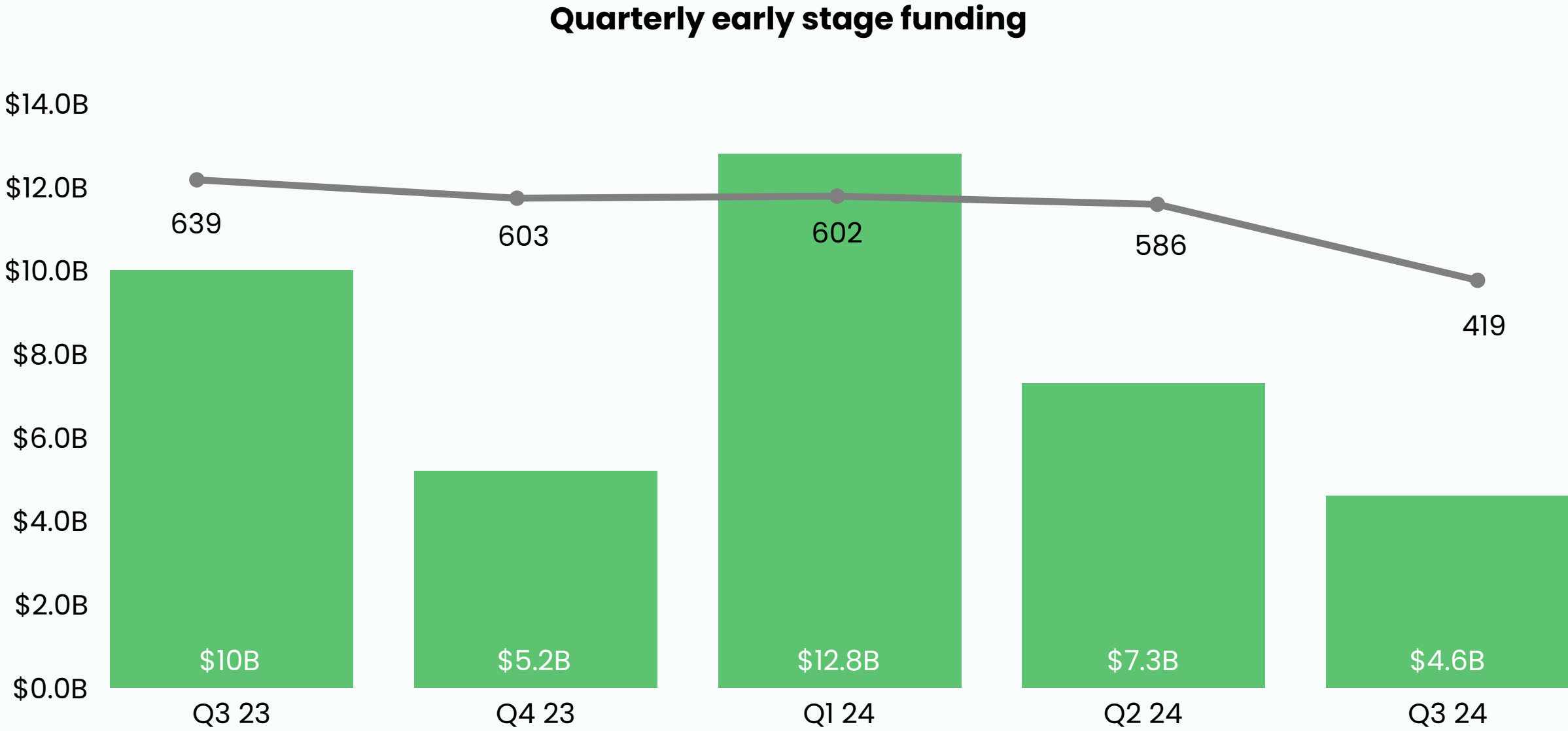
Source: Net Zero Insights

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OVERVIEW



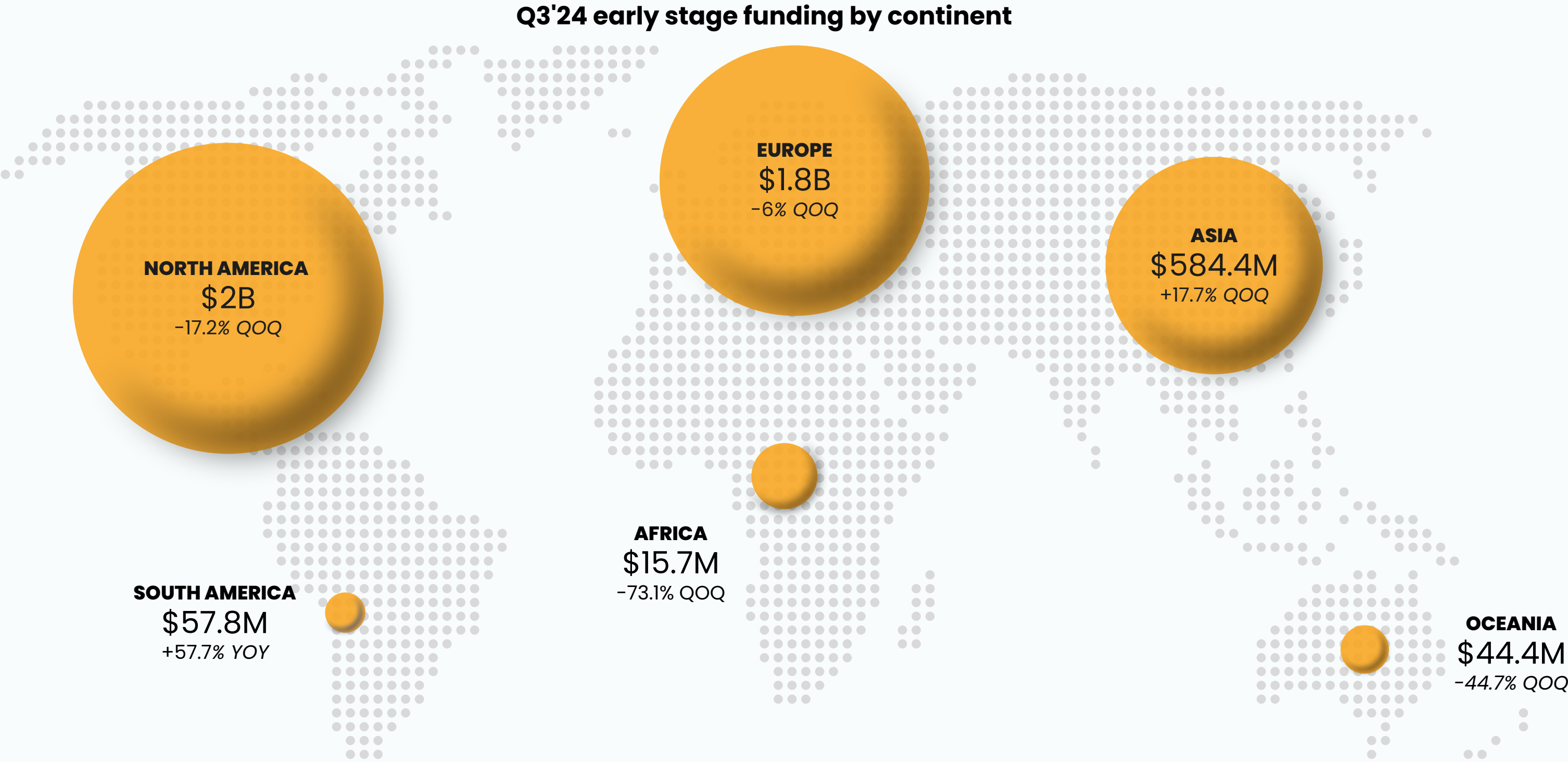
EARLY-STAGE FUNDING SHOWS RESILIENCE IN 2024, DESPITE A DECLINE IN DEAL VOLUME.



Source: Net Zero Insights

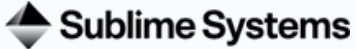
The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing.

NORTH AMERICA LEADS EARLY-STAGE FUNDING, CLOSELY FOLLOWED BY EUROPE.



The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing.

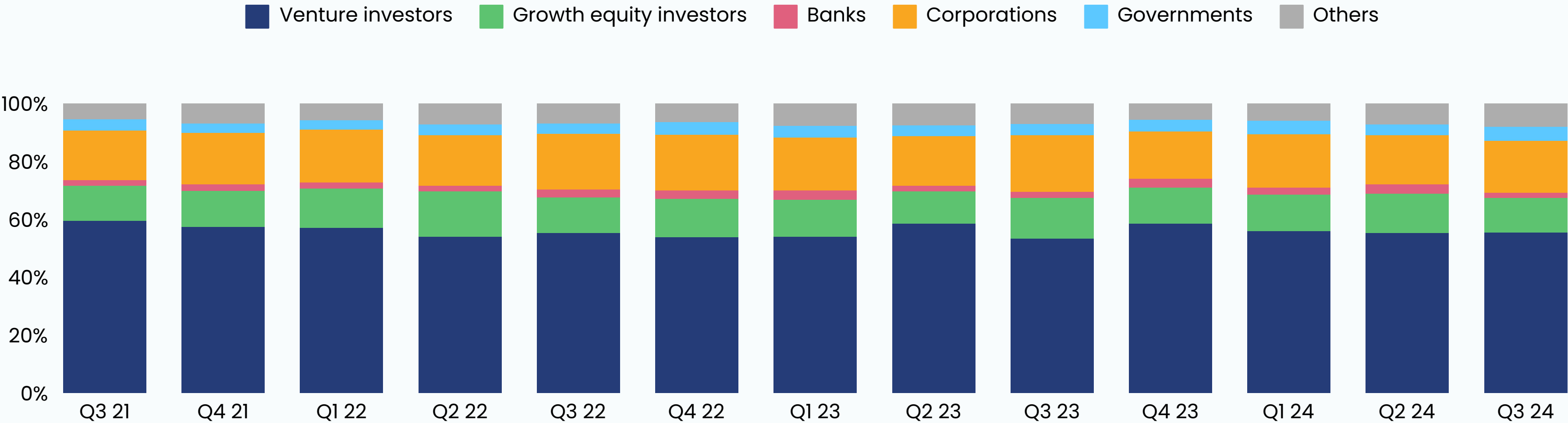
FROM EV TO GREEN HYDROGEN, HERE ARE THE TOP EARLY STAGE DEALS IN Q3 2024.

Company	Amount	HQ Country	Tags	Read More
 XPENG	\$150M	CHINA	#Electric Vehicles	Link
	\$120M	GERMANY	#ESG Monitoring	Link
 Halo Industries	\$80M	UNITED STATES	#SiC Wafers #Lasers	Link
 SILICON BOX	\$75.8M	SINGAPORE	#Advanced packaging #ICs	Link
 Sublime Systems	\$75M	UNITED STATES	#Cement Production	Link
 MarvelFusion	\$70M	GERMANY	#Fusion Energy	Link
AIR COMPANY	\$69M	UNITED STATES	#Carbon negative chemicals	Link
 Reverion	\$62M	GERMANY	#Green Hydrogen	Link
 ZWITTERCO	\$58.4M	UNITED STATES	#Water Treatment	Link
	\$56.7M	UNITED STATES	#Space Tech #ML	Link

Source: Net Zero Insights

Q3 SAW CONSISTENT ENGAGEMENT FROM DIVERSE INVESTOR TYPES IN EARLY-STAGE FUNDING.

Quarterly share of investors participating in early stage deals by investor type

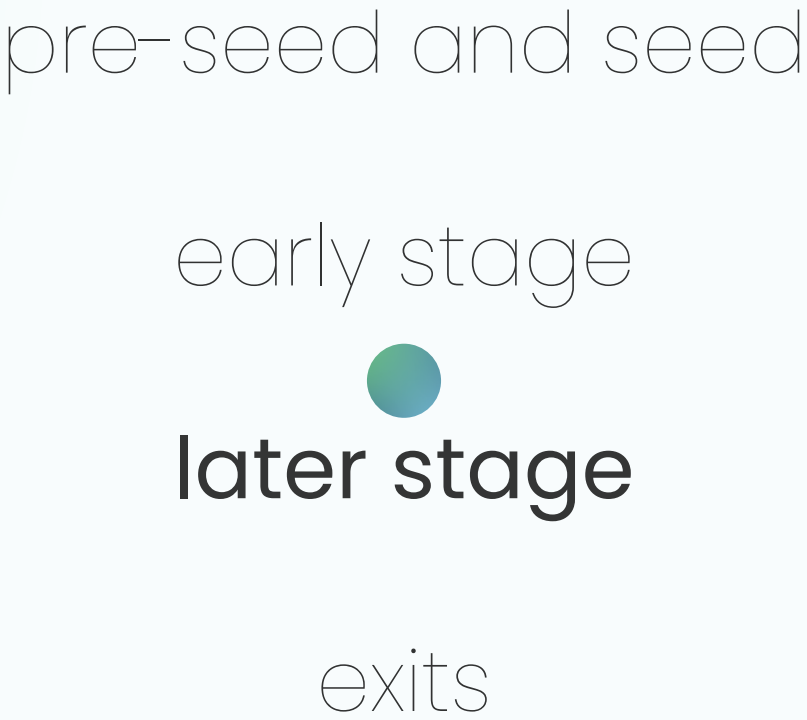


Source: Net Zero Insights

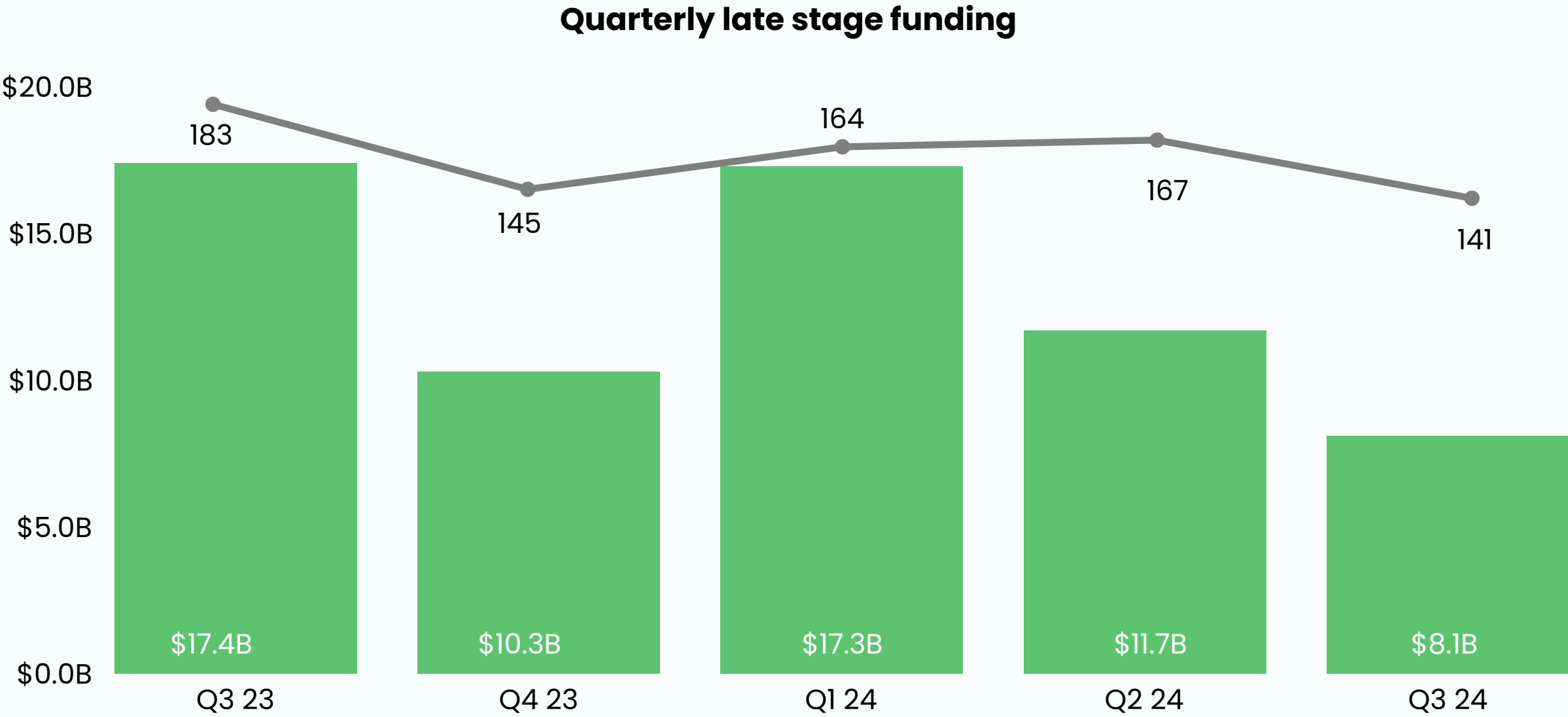
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OVERVIEW



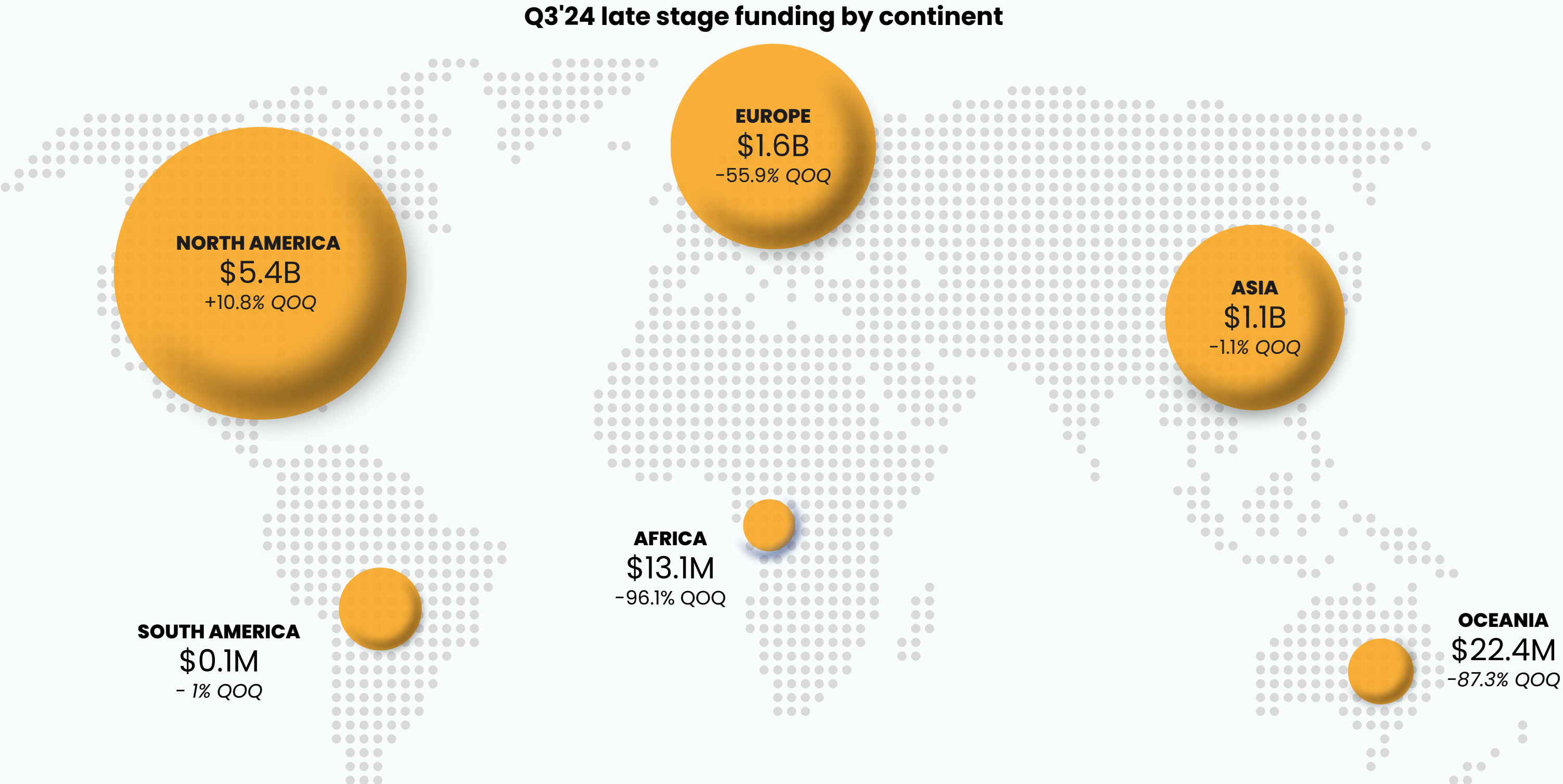
LATE-STAGE SHOWS A DECLINE IN Q3'24 FUNDING & DEAL COUNT.



Source: Net Zero Insights

The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing.

NORTH AMERICA OUTPERFORMS OTHER REGIONS IN LATE STAGE FUNDING.



The figures illustrate funding and deal activity in private climate tech ventures, covering equity, debt, grants, and other financial instruments, while excluding exits and post-exit financing.

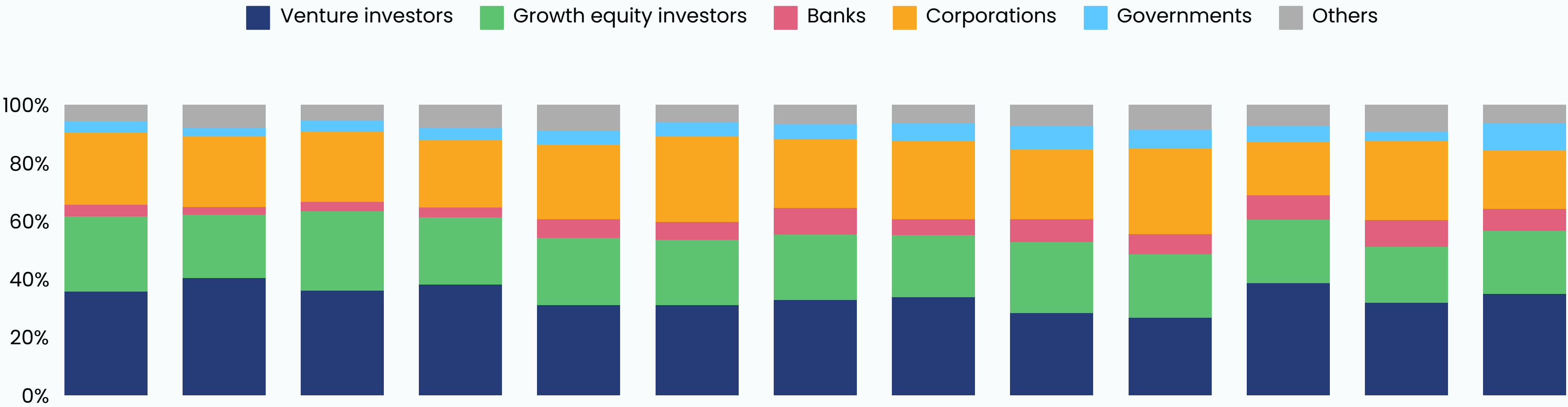
FROM WATER MANAGEMENT TO SEMICONDUCTORS, HERE ARE THE TOP LATE-STAGE DEALS IN Q3 2024.

Company	Amount	HQ Country	Tags	Read More
	\$1.1B	UNITED STATES	<i>#Electrofuels</i>	
	\$200M	UNITED STATES	<i>#Monitoring and mentoring #AI</i>	
	\$155M	UNITED KINGDOM	<i>#Electric vehicle #Hybrid vehicle</i>	
	\$130M	UNITED STATES	<i>#Fusion energy</i>	
	\$100M	GERMANY	<i>#Water management</i>	
	\$90M	UNITED STATES	<i>#AI #Urban transportation</i>	
	\$87M	UNITED STATES	<i>#Lithium-ion batteries</i>	
	\$85M	UNITED STATES	<i>#Sustainable building materials</i>	
	\$83.2M	UNITED STATES	<i>#Semiconductors</i>	
	\$82M	UNITED STATES	<i>#Advanced Materials</i>	

Source: Net Zero Insights

VENTURE INVESTORS DOMINATE LATER-STAGE FUNDING, SUPPORTED BY STRONG CORPORATE PARTICIPATION.

Quarterly share of investors participating in later stage deals by investor type



Source: Net Zero Insights

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OVERVIEW

overview

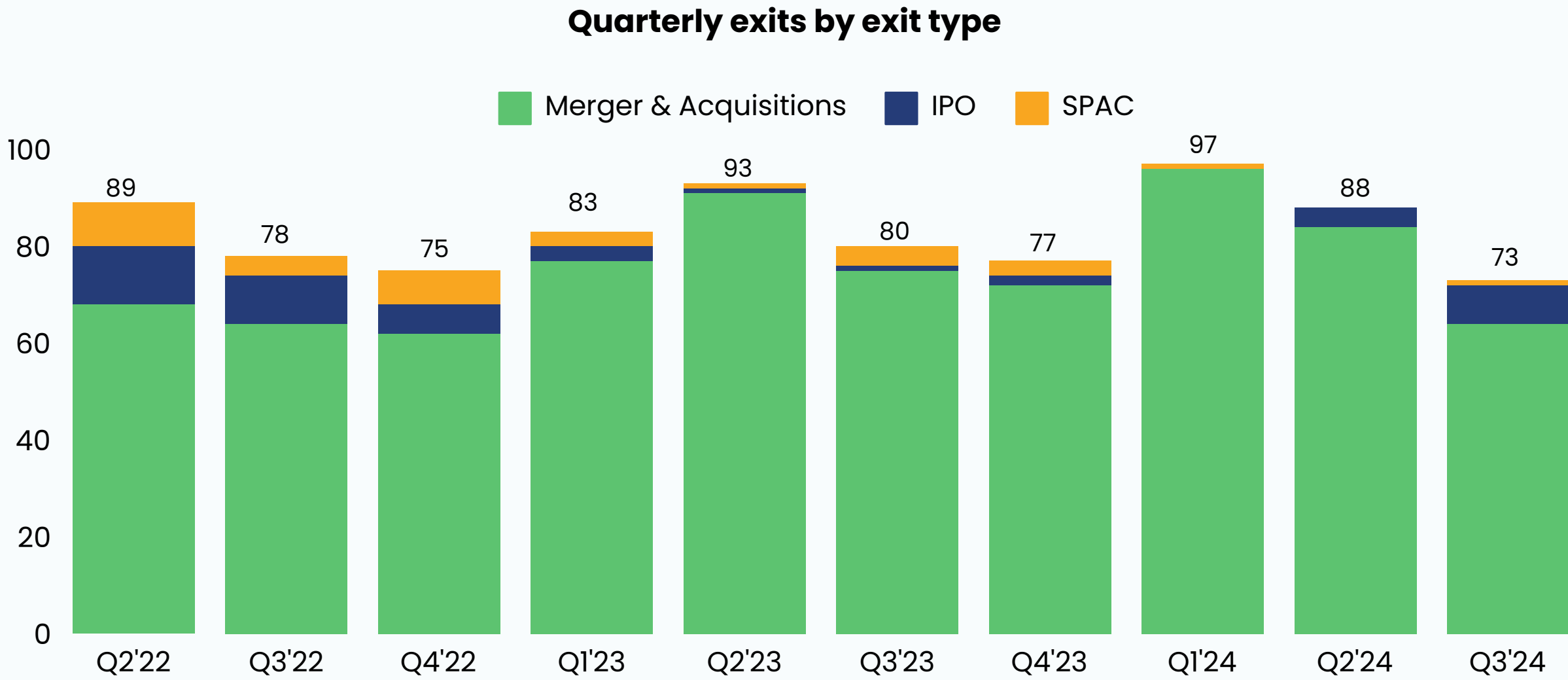
pre-seed and seed organisations

early stage organisations

later stage organisations

exits

DESPITE A DECLINE IN EXIT ACTIVITY LAST QUARTER, 2024 STILL HAS THE POTENTIAL TO TURN INTO THE YEAR OF EXITS.



Source: Net Zero Insights

The figures illustrate exit activity including IPOs, SPACs, mergers and acquisitions of private climate tech ventures, while excluding venture and post-exit financing.

NOTABLE Q3' 24 EXIT DEALS

Notable examples

Company	HQ country	Keyword	Exit type	Investor	Read More
	INDIA	SOLAR ENERGY	IPO	-	
	GERMANY	ELECTRIC VEHICLES	IPO	-	
	ITALY	HYDROGEN STORAGE	MERGER		
	UNITED STATES	SOLAR FARMS	ACQUISITION		
	SPAIN	DECARBONIZATION	ACQUISITION		
	GERMANY	ENERGY STORAGE	ACQUISITION		

Source: Net Zero Insights

CORPORATES CONTINUE TO SHOW INTEREST IN CLIMATE TECH

Merger and acquisition (M&A) continues to dominate exits in 2024, driven by the interest of corporations including **Nextracker, Iberdrola, Intel Corporation, Mitsui & Co. Porsche**. Buying innovative startups has become a formal and strategic route for companies to enhance their clean energy and sustainability portfolios.

This trend signals sustained investor confidence in long-term growth through strategic acquisitions, aligning with their **environmental goals** while gaining access to cutting-edge technologies. Furthermore, these acquisitions enable corporations to stay competitive in the rapidly evolving landscape of green innovation and **climate-focused solutions**.

TOP CORPORATE ACQUIRERS IN Q3 '24



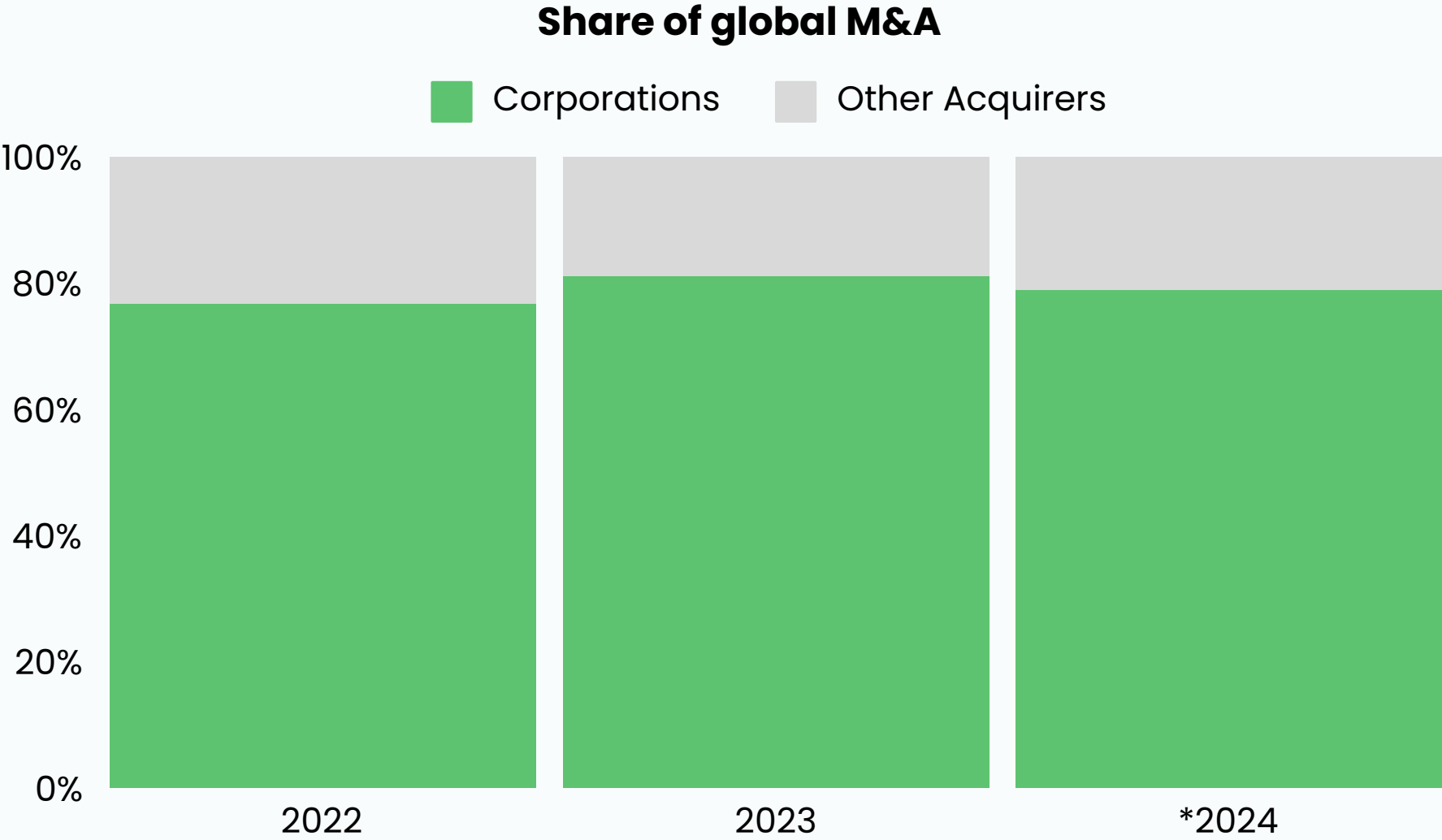
Nextracker
| 1 deals
UNITED STATES



Iberdrola
| 1 deal
SPAIN



Porche
| 1 deal
GERMANY



Source: Net Zero Insights

PART 2

HIGHLIGHTS OF THE QUARTER

1

INNOVATORS

2

INVESTORS

3

ECOSYSTEM
SUPPORTERS



HIGHLIGHTS OF THE QUARTER

Q3 '24 HIGHLIGHTS IN PHYSICAL INFRASTRUCTURE.

Solar energy and EV companies secured more investment this quarter to support the development of infrastructure and increase market penetration.

NORTH AMERICAN INVESTORS SHOW CONFIDENCE IN CLIMATE TECH.

Renewed activity from North American investors instills confidence in a market beset by political and economic uncertainties.

CATALYSTS FOR CARBON CAPTURE AND ENERGY STORAGE.

Ecosystem supporters, including grant providers and accelerator programs, play a crucial role in advancing carbon capture and energy storage solutions in Q3'24.

KEY TAKEAWAYS

1

HIGHLIGHTS

innovators

investors

ecosystem supporters



THE PROFILE OF Q3'24 INNOVATORS

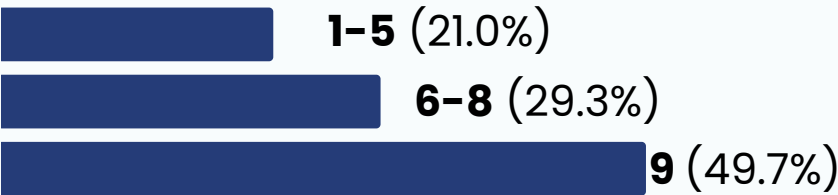
Q3's Climate Tech innovators are building a blend of hardware and software solutions to address critical sustainability challenges.

- **Many of these innovations were market-ready**, reflecting a clear commitment to scaling technologies that could immediately drive the global energy transition.
- **The top focus areas** for these innovators were energy, particularly in the realms of renewable energy sources like solar power and electric vehicles, underscoring the urgency to transition away from fossil fuels.
- **The challenges of the circular economy and industrial sustainability** emerged as critical focus areas, highlighting the comprehensive approach innovators are taking to reduce emissions and promote sustainable economic models.

Type of solution



TRL



Top challenge areas

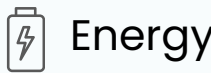


Solutions



Source: Net Zero Insights

NOTABLE DEALS BY MOST INVESTED SECTORS



Energy



Marvel Fusion
NUCLEAR ENERGY
\$329M
India



Group14 Technologies
ENERGY STORAGE
\$200M
UNITED STATES

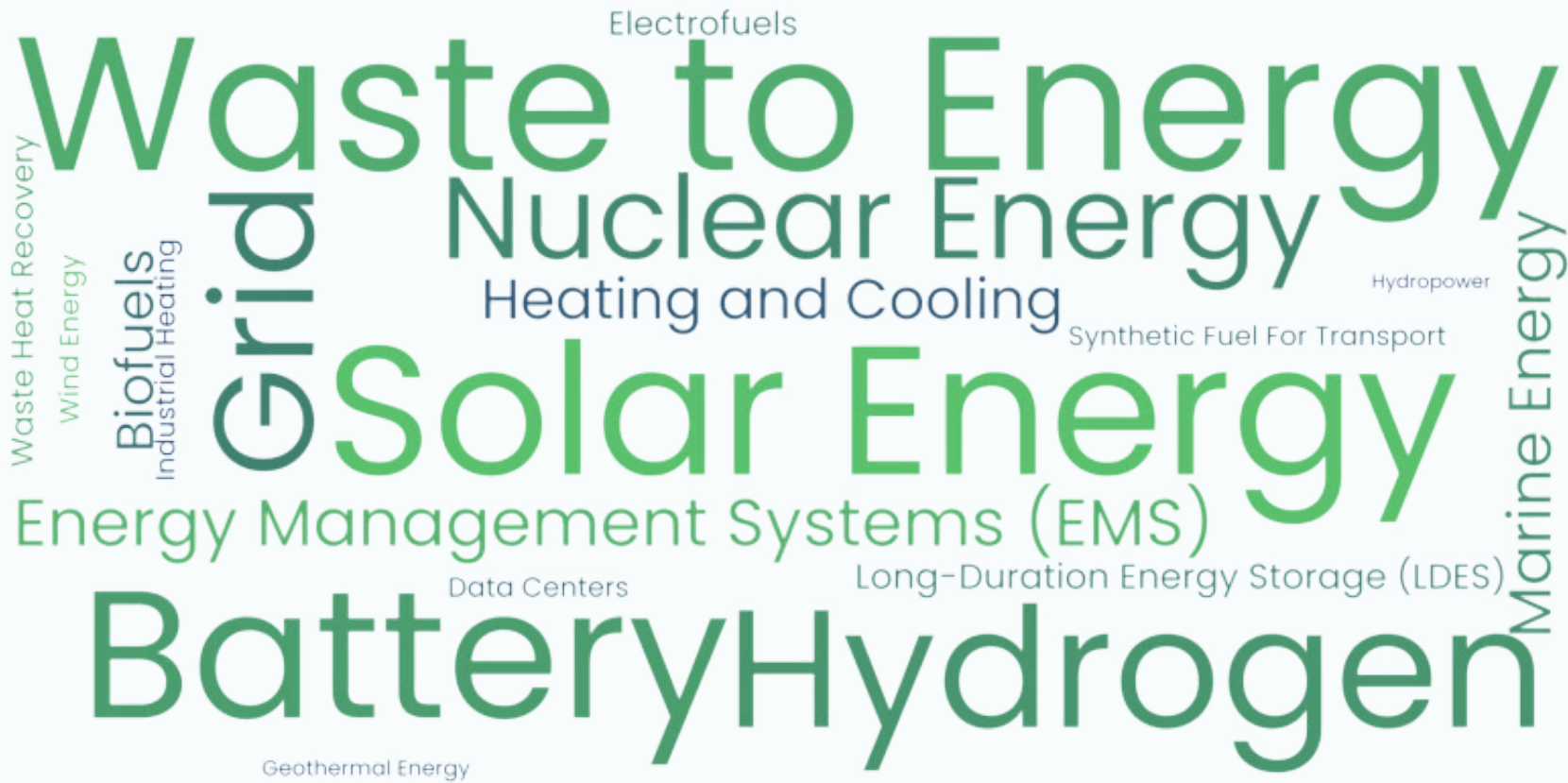


Zap Energy
NUCLEAR ENERGY
\$130M
UNITED STATES



Fervo Energy
GEOTHERMAL ENERGY
\$100M
UNITED STATES

Word clouds for buzzwords in Q3'24 energy deals



Source: Net Zero Insights

NOTABLE DEALS BY MOST INVESTED SECTORS

Word clouds for buzzwords in Q3'24 circular economy deals



24M Technologies
RECHARGEABLE BATTERY
\$87M
UNITED STATES



Blue Whale Materials
BATTERY RECYCLING
\$55M
UNITED STATES



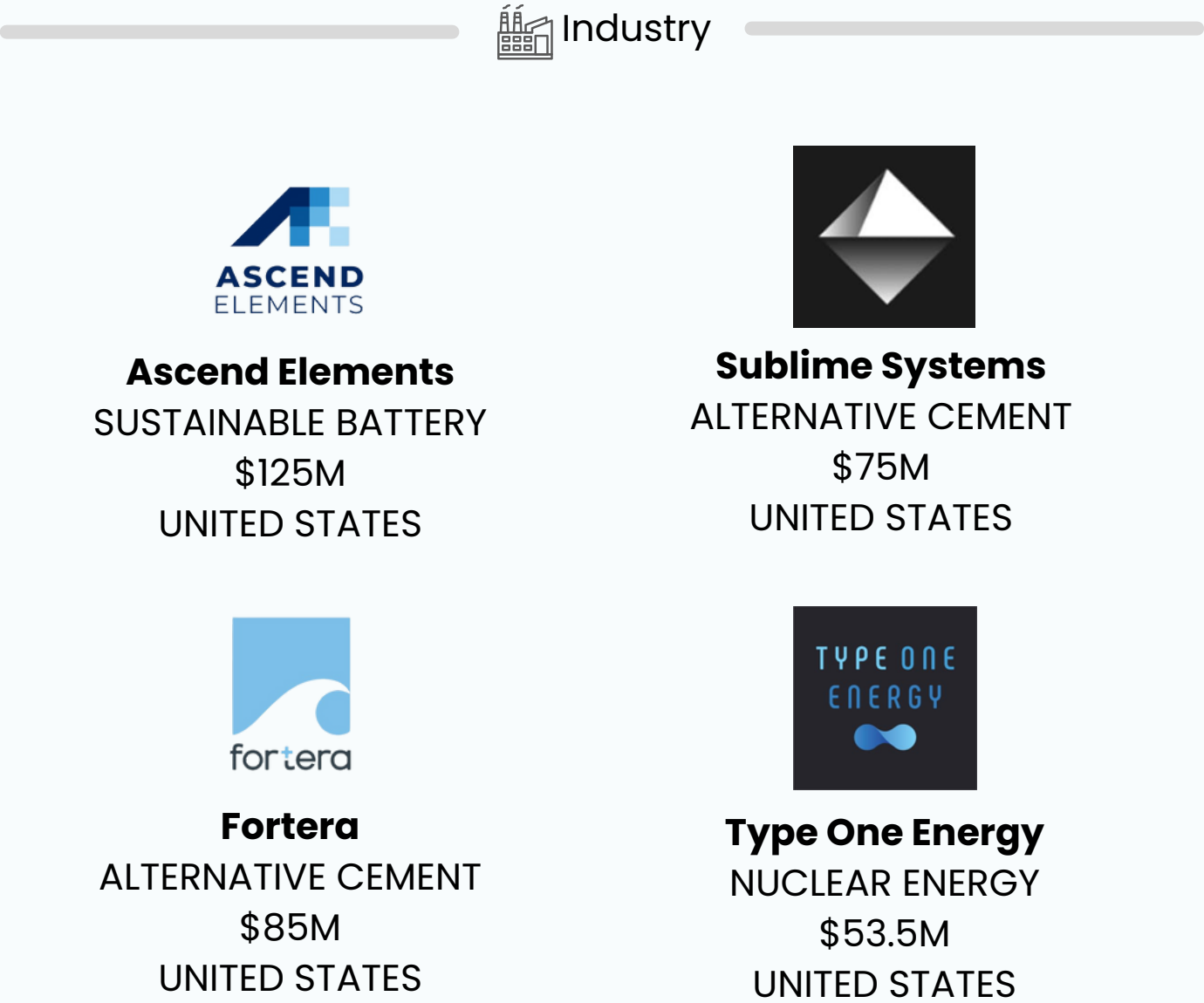
Li Industries
BATTERY RECYCLING
\$55M
UNITED STATES



Newcleo
NUCLEAR ENERGY
\$53.3M
UNITED KINGDOM

Source: Net Zero Insights

NOTABLE DEALS BY MOST INVESTED SECTORS



Word clouds for buzzwords in Q3'24 industry deals



Source: Net Zero Insights

INNOVATOR

SPOTLIGHT

Q: There's been a notable increase in climate tech investments in the U.S. this year. How did Switch Bioworks' fundraising experience compare with these trends?

A: Climate tech is a broad field and the investment landscape is non-uniform. We are incredibly excited and humbled to have just raised a \$17m Series Seed in an environment where investments in pre-revenue deep tech companies remain hard to come by. I'd love to see more deal activity, especially in agtech and biotech, because it's innovations in these areas that are crucial for building a sustainable planet in the long run. You can't eat AI

Q: Raising capital in the sustainable fertilizers sector comes with challenges, especially around regulatory frameworks and policies. What were the biggest challenges you faced during this round, and how did you overcome them?

A: At Switch, we see regulatory agencies not as a challenge but as partners who we work with from day one to ensure our products are safe and compliant. They are stewards of human health, agriculture and the environment, and so are we.

Q: From your recent fundraising success, what key advice would you give to other climate tech founders seeking investment?

A: Raise money when you don't yet need it. And then raise more than you think you need. Find investors that deeply care about you and the mission -beyond words and money.



Tim Schnabel
CEO and Founder

Dr. Tim Schnabel is a bioengineer, entrepreneur, and Forbes 30 Under 30 honoree in social impact. He is the Founder and CEO of Switch Bioworks, a biotechnology company in San Carlos, California, focused on engineering microbes for sustainable fertilizer production. Tim studied chemical engineering and economics at Stanford University, where he received multiple awards for his research on biological hydrogen fuel production. He later earned his PhD in bioengineering at Stanford, where his work on ammonia production in diazotrophs led to patents and publications. Tim is also a BioX Bowes Fellow and Accel Leadership Fellow.

INNOVATOR

SPOTLIGHT

Q: Your funding history shows diversification in your capital stack. How has this impacted your fundraising goals and company growth? Were there any particular strategies that worked well for you?

A: Switch is solving a complex challenge at the intersection of biotech, agtech, and climate -- our diverse investor syndicate reflects these markets and their stakeholders. Having no one fraction dominate gives us more freedom to build the company we want to build, while learning from everyone's diverse perspectives.

Q: How does Switch balance its non-profit and for-profit operations, and what impact does this synergy create?

A: There is synergy between the non-profit and the for-profit sector that allows each to catalyze the other's goals. Switch could not deliver on its philanthropic milestones without the for-profit engine and in return learns a lot from its non-profit work while deepening its impact. In the end it's about maximal impact.

Switch Bioworks, established in 2022 and headquartered in San Carlos, CA, is a biotechnology company spun out of Stanford University. The company specializes in engineering microbes using advanced synthetic biology to produce sustainable nitrogen fertilizers. By harnessing innovative gene editing techniques and metabolic engineering, Switch Bioworks creates living fertilizers that enable plants to access nitrogen more efficiently, reducing the dependence on traditional chemical fertilizers. The company's technology represents a breakthrough in sustainable agriculture, contributing to both environmental sustainability and agricultural productivity.

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SPOTLIGHT

innovators



investors

ecosystem supporters



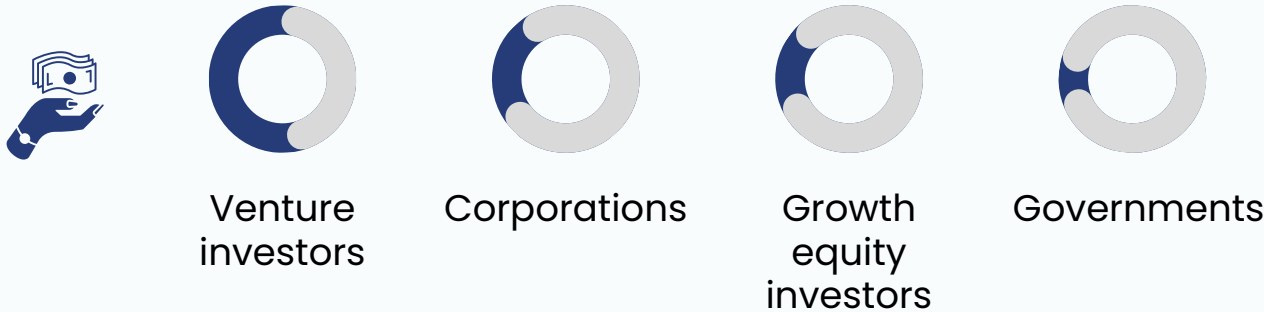
PROFILE OF Q3'24 INVESTORS

In Q3 2024, **venture investors** not only led in terms of the number of participants but also played a pivotal role in attracting newcomers to the Climate Tech landscape. Although **corporations** contributed less overall, they ranked second, with a significant 21% contribution in introducing first-time investors to the sector.

Other key participants included growth equity investors and governments, underscoring the diversity of players across various investment stages.

Geographically, these major investors are spread across the globe, with **North America**—particularly the United States—leading in investor activity last quarter. This global distribution highlights the wide-reaching impact of both venture capital and corporate investments in driving innovation and growth across Climate Tech.

Top Investor type



Top first time investors



HQ country



Source: Net Zero Insights

MOST ACTIVE INVESTORS IN Q3 2024

VENTURE CAPITAL



Lowercarbon Capital
6 deals
UNITED STATES



Astanor Ventures
5 deals
BELGIUM



Climate Capital
5 deals
UNITED STATES



Congruent Ventures
4 deals
UNITED STATES

Source: Net Zero Insights

In 2024, venture capital firms continue to play pivotal roles as primary equity providers for private companies within Climate Tech. These firms primarily focus on equity financing for cutting-edge carbon capture, renewable energy, and sustainable agriculture technologies.

In Q3 2024 majority of deals across these VCs were in **seed and early-stage funding rounds**, showing a strong preference for supporting new, scalable innovations.

- Lowercarbon Capital led the way in **decarbonization technology** investment
- Astanor Ventures focused on innovations in **food, agriculture, and material science**.
- Climate Capital concentrated on startups advancing circular economy solutions and **renewable energy**
- Congruent Ventures prioritized clean energy and environmental monitoring technologies

Most investments were made in the **US and Europe**, showing a regional preference for established ecosystems while maintaining global impact potential.

THOUGHT LEADER

SPOTLIGHT

Q: How does Climate Capital mitigate risk while identifying and scaling opportunities, given the high level of investment activity that frequently places you among the most active investors?

A: It is impossible to fully mitigate risk as an early-stage investor. As we move through the process of due diligence, our job is to try and align "what needs to be true" in order for a company to reach a certain return profile and develop an analysis that shows the gap between that and our best estimation of reality over the next 7-10 years. The quality of the founding team is what helps us get comfortable with the size of that gap.

Q: What challenges do you anticipate in scaling climate tech hardware solutions? What structural changes in traditional investment models are needed to enable substantial investments in these solutions at a larger scale?

A: Financing for manufacturing hardware at scale is a big one. There need to continue to be risk-takers at each stage who know how to evaluate and structure financing tools for companies who are becoming too mature for venture capital, but have yet to be truly at-scale. Climate tech hardware companies are often taking swings at \$BBB industries, which require incredibly high volumes.



Sundeep Ahuja
Founder, Climate Capital

Sundeep Ahuja is the Founder of Climate Capital and has co-founded three companies, all of which were successfully exited. He has been active in climate solutions since 2010, investing in startups since the same year, and focusing on climate-related investments since 2015.

With a background that includes roles at AWS, MySpace, and eBay, Sundeep has invested in over 200 companies, including Arcadia and Substack. He is also the author of *HALINE*, a climate-themed novel.

THOUGHT LEADER

SPOTLIGHT

Q: What emerging trends or technologies in climate tech are you most excited about, and how do you envision their potential to drive significant impact to meet global climate goals?

A: a) It's incredibly exciting to see the early stages of 'everything coming together'. In other words, really wonky and interesting ways of producing, distributing, and dispatching renewable energy.

b) Optimistically, the potential is massive. More and more founders are realizing that in order to be truly scalable, you have a better chance to win by beating the status quo not only on climate, but also on cost (and ideally by an order of magnitude). When these two things align within a value proposition, the potential is quite exciting.

Q: What do you see as the key barriers and opportunities for Climate Tech funding in the coming years, considering factors such as economic landscape, technology scalability, market adoption, regulatory framework, and others?

A: i) Continuing availability of capital, both from investors and customers.

ii) In America, continuing to have an effective government that is creating policy to incentivize markets and behavior (instead of one that is actively damaging the future).

iii) Willingness to host and support FOAK and pilot deployments from the largest OEMs and tech companies.

Climate Capital is an early-stage venture capital firm dedicated to funding climate tech startups that aim to decarbonize the global economy. With a portfolio of over 400 companies across sectors such as renewable energy, sustainable agriculture, and carbon capture, Climate Capital supports transformative technologies that tackle climate change.

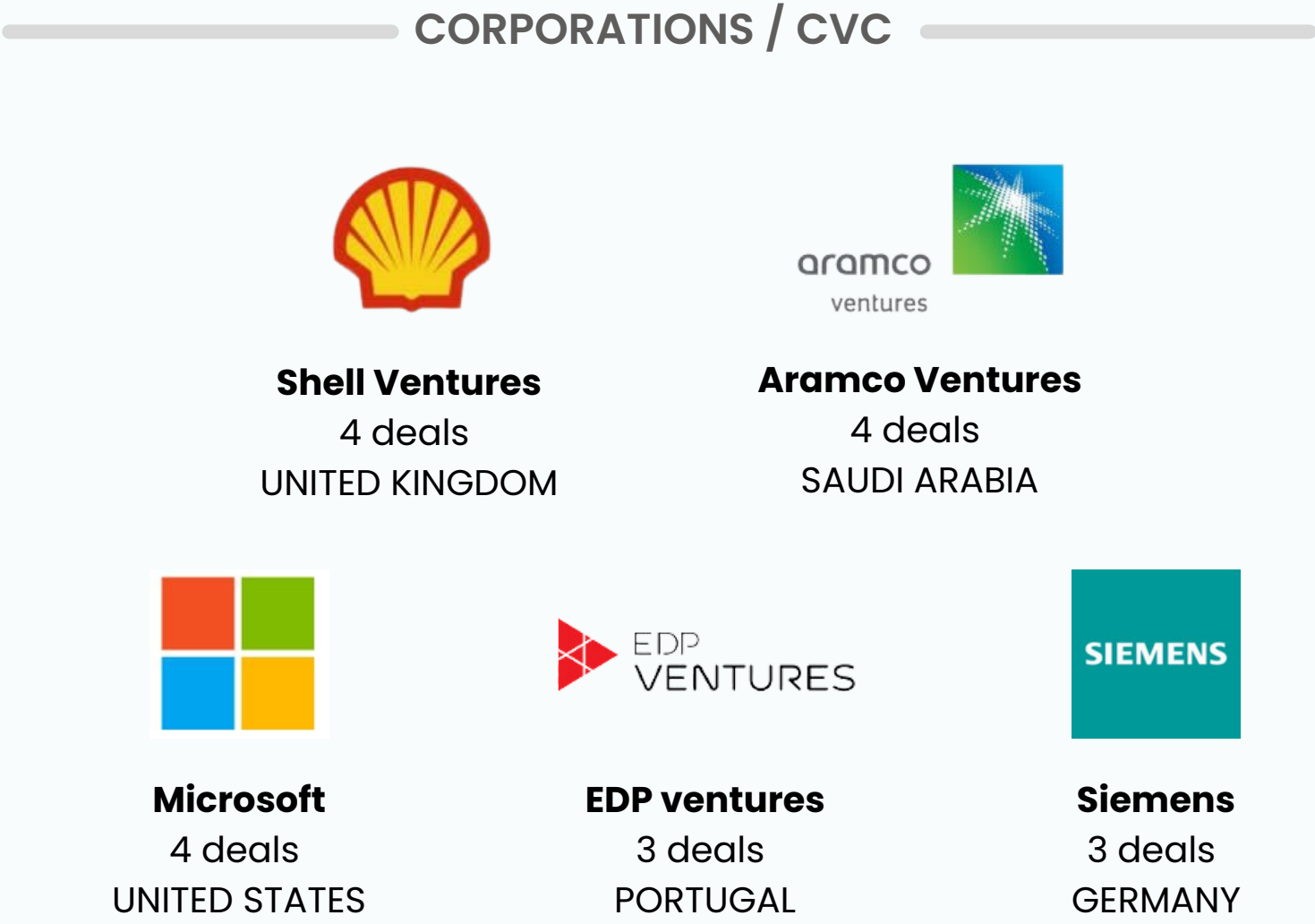
The firm partners with visionary founders to accelerate innovations that reduce emissions and create a more sustainable future. By leveraging its extensive network and expertise, Climate Capital plays a pivotal role in fostering scalable solutions for climate resilience.

MOST ACTIVE INVESTORS IN Q3 2024

Corporations and Corporate Venture Capital (CVC) firms like Shell Ventures, Siemens, Microsoft, Aramco Ventures, and EDP Ventures invested into **decarbonization, clean energy, circular economy, and industrial efficiency technologies** in Q3 2024.

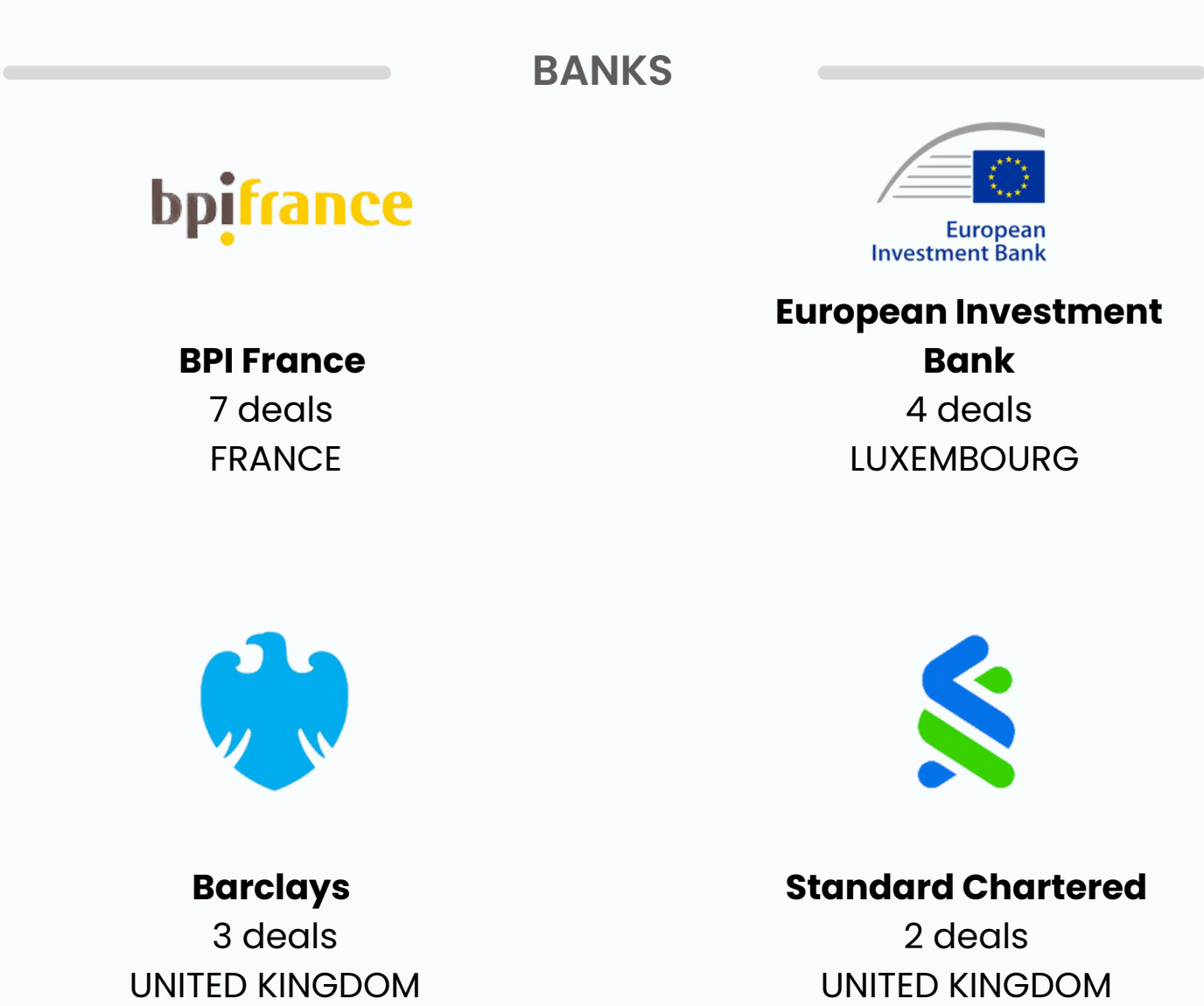
- Shell Ventures and Siemens concentrated their quarter investments in **carbon capture startups**, aligning with global efforts to reduce carbon emissions.
- Aramco Ventures focused on supporting **energy storage solutions**, which are pivotal in enabling renewable energy integration and grid resilience.
- Microsoft showed a strong interest in **circular economy innovations** and **renewable energy platforms**, supporting technologies that promote sustainability and resource efficiency.

The majority of investments participated by corporations were concentrated in North America and Europe, with significant backing for companies in these regions. **Siemens** demonstrated a willingness to explore high-potential startups in **global markets**, such as **Australia**, indicating an openness to expanding beyond traditional hubs.



Source: Net Zero Insights

MOST ACTIVE INVESTORS IN Q3 2024



In Q3 2024, banks actively invested in Climate Tech, in sectors such as **energy transition and clean logistics**.

Bpifrance continued to invest in clean energy, sustainable transportation, and industrial decarbonization. The European Investment Bank played a pivotal role in advancing the clean energy transition by providing substantial debt financing, which is essential in scaling the required infrastructures in these sectors.

Barclays is strategically investing in energy logistics and decentralized energy systems, ensuring the transition to renewable energy remains accessible and efficient. Meanwhile, Standard Chartered’s investment strategy revolves around carbon removal and solar energy deployment.

Debt financing activity is primarily concentrated in Europe, focusing on supporting late and growth-stage companies, with only selective investments extending to other regions.

Source: Net Zero Insights

A deal can be participated by multiple investors, potentially being counted more than once. For more details about the investor types categories, please refer to the methodology section.

1

HIGHLIGHTS

innovators

investors



ecosystem supporters



PROFILE OF Q3'24 ECOSYSTEM SUPPORTERS

In Q3'24 ecosystem supporters, including grant providers, accelerators, and incubators, played a critical role in driving innovation within the Climate Tech sector.

Grant providers focused on three key areas: **energy**, which received the majority of their support, followed by **industry** and the **circular economy**. This emphasis highlights the growing importance of renewable energy solutions, industrial decarbonization, and sustainable practices through circular models, reflecting a comprehensive approach to addressing environmental challenges.

At the same time, accelerators and incubators facilitated **early-stage growth**, with a significant focus on energy, followed by industry and transport. Their support reflects a commitment to fostering innovations in **clean energy, sustainable manufacturing, and greener mobility solutions**.

Grant providers



Q3'24 grant providers

383 deals



Accelerators / incubators



Q3'24 accelerator / incubators

315 deals



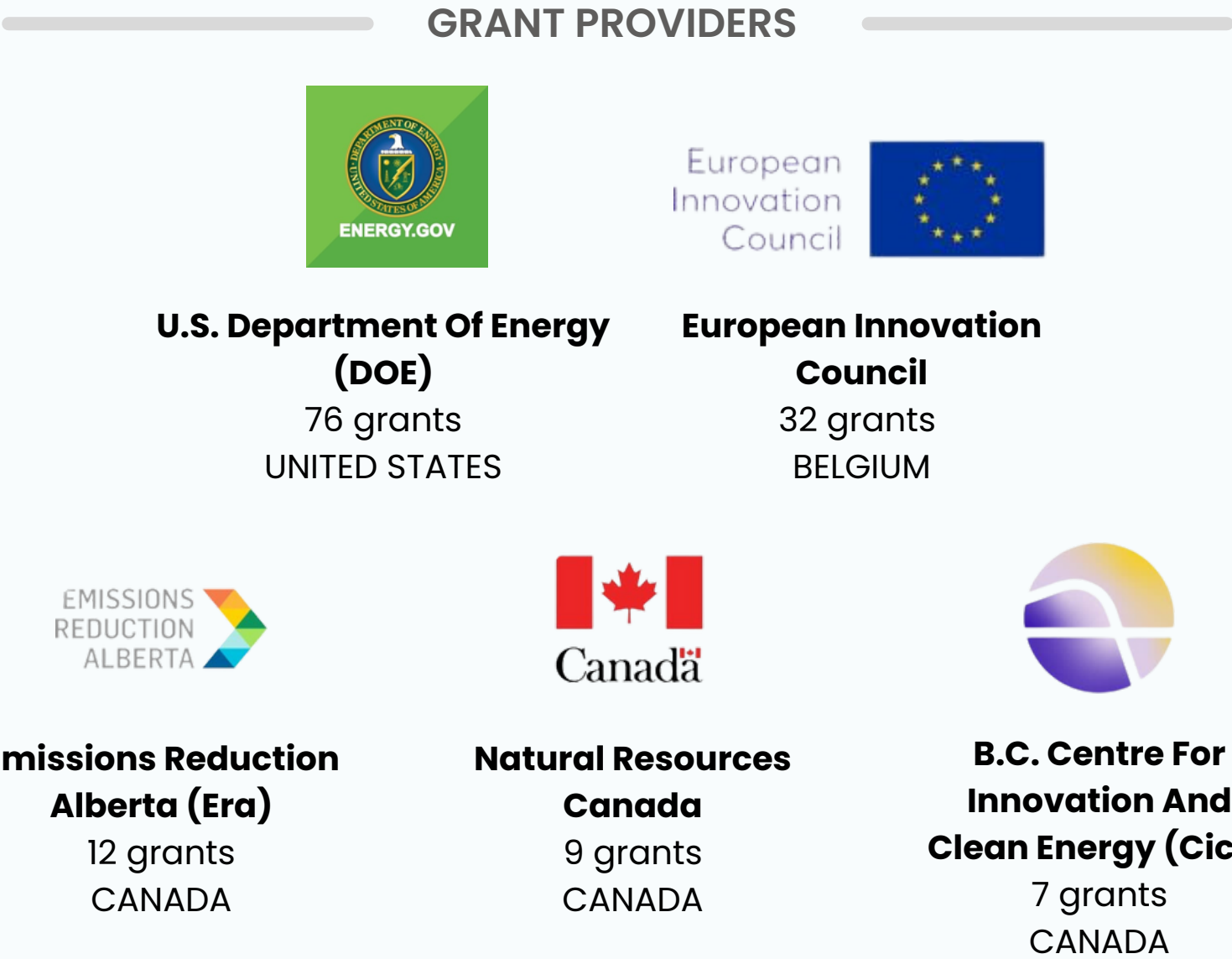
Source: Net Zero Insights

MOST ACTIVE ECOSYSTEM SUPPORTERS IN Q3 2024

In Q3 2024, major grant providers demonstrated their commitment to accelerating the global energy transition. Through targeted grant funding, these organizations have supported a diverse range of early-stage startups and their research and development activities.

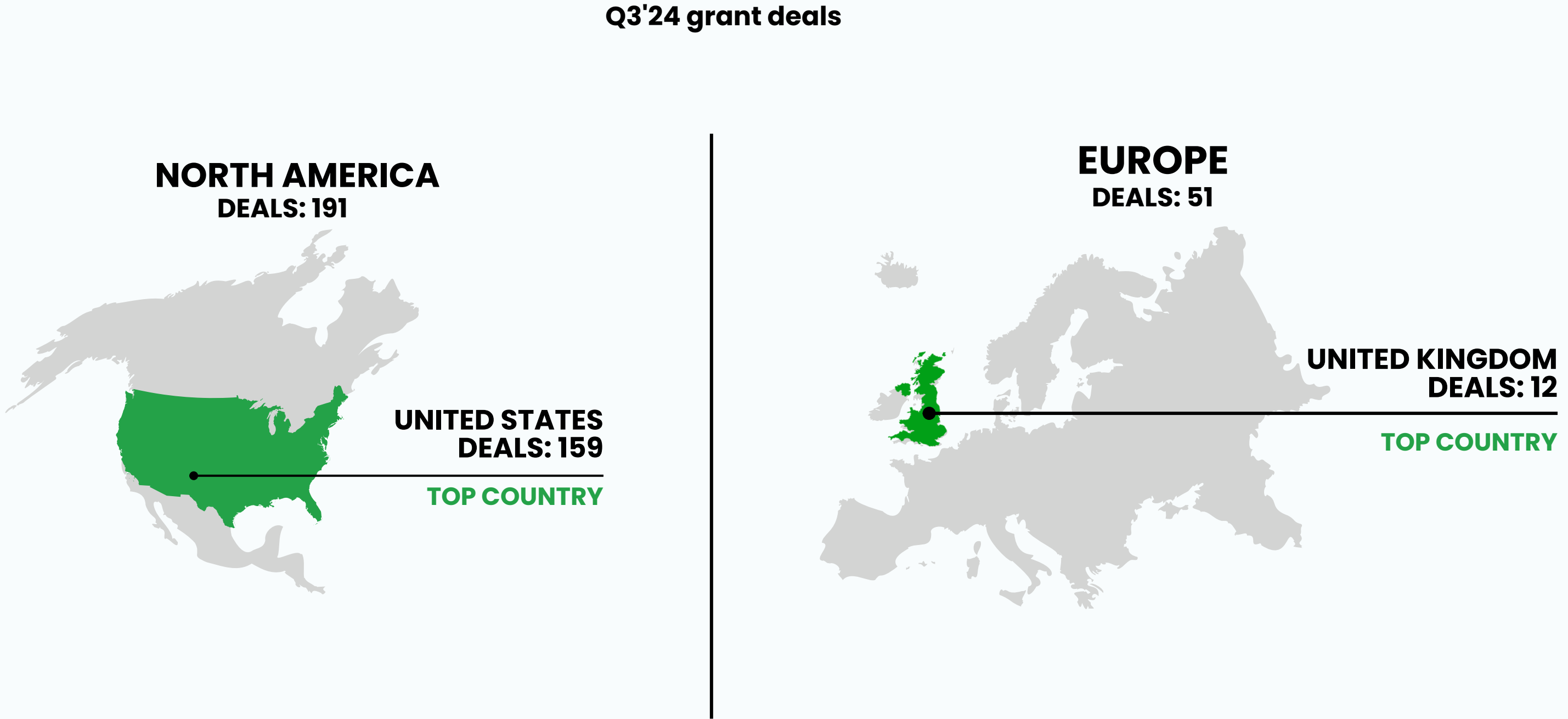
The **U.S. Department of Energy (DOE)** and the **European Innovation Council (EIC)** concentrated their investments on **energy storage technologies**, with a particular focus on innovations in lithium-ion batteries, solid-state batteries, and silicon-based anodes. Meanwhile, the B.C. Centre for Innovation and Clean Energy (CICE), and Natural Resources Canada (NRCan) emphasized **hydrogen solutions and fuel cell technology**, especially for applications in clean transportation and industrial sectors. These grants highlight their commitment to fostering alternative energy solutions. Additionally, **Emissions Reduction Alberta (ERA)** backed projects focused on **biomass energy and industrial efficiency**.

The majority of grants went to **early stage companies**, across North America and Europe, reflecting a commitment to fostering innovation at the foundational level.



Source: Net Zero Insights

MAP OF Q3 2024 GRANT DEALS



Source: Net Zero Insights

MOST ACTIVE ECOSYSTEM SUPPORTERS IN Q3 2024

ACCELERATORS / INCUBATORS



Activate
29 ventures
UNITED STATES



Third Derivative
26 ventures
UNITED STATES



Amazon Clean Energy Accelerator
20 ventures
UNITED STATES



Plug And Play Tech Center
18 ventures
UNITED STATES



Kickstart Innovation
13 ventures
Switzerland

Accelerators and incubators have been instrumental in driving the early development of technologies and startups within Climate Tech.

In Q3 2024:

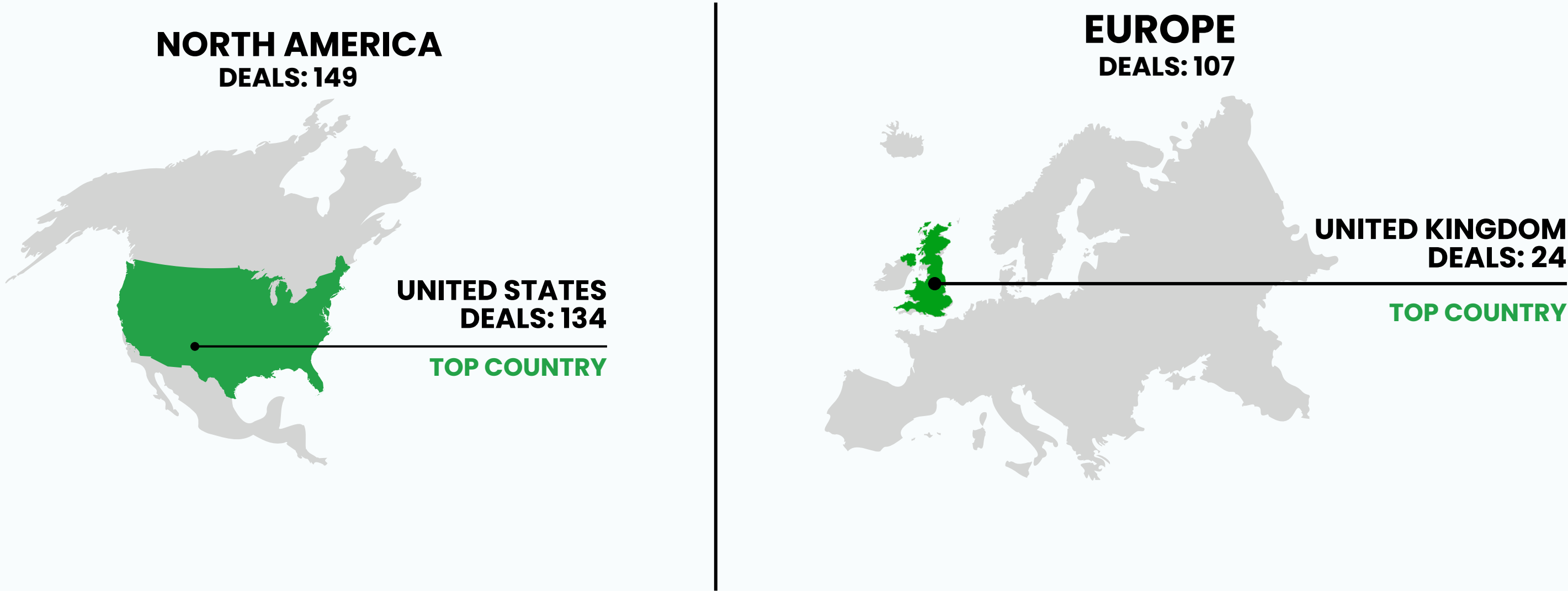
- AWS Clean Energy Accelerator and Third Derivative supported startups focused on developing **energy storage, grid management, and electric mobility** solutions.
- **Activate** and **Kickstart Innovation** supported startups working on **carbon capture and sequestration technologies**.
- Plug and Play Tech Center mentored startups operating in the field of **advanced materials** like ultracapacitors, sustainable coatings, and recycling rare materials.

While most programs are located in North America, these accelerators fostered global innovations by providing access to resources, mentorship, and early-stage capital, enabling startups to make the first steps in the right direction.

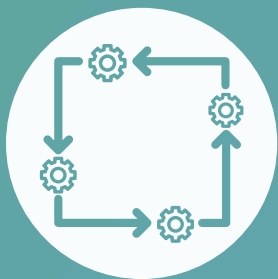
Source: Net Zero Insights

MAP OF Q3 2024 ACCELERATOR / INCUBATOR DEALS

Q3'24 acceleration / incubation deals



Source: Net Zero Insights



METHODOLOGY & SCOPE

This report leverages data from the Net0 Platform to analyze global funding and deal activity for climate tech startups, scale-ups, and SMEs. The analysis covers equity, debt, grants, and other forms of investments. Exits are classified as acquisitions, mergers, IPOs, and SPACs, with post-exit financing rounds being excluded from the analysis.

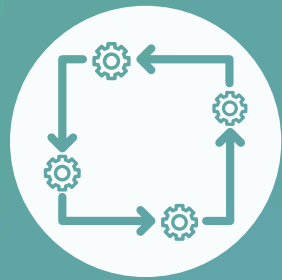
Given the continuous expansion of the Net0 Platform’s scope and the enrichment of its data, this quarterly analysis offers broader coverage, particularly in later-stage funding rounds and emerging markets. Due to these methodological enhancements, the data in this report is not directly comparable to that of previous reports. Consequently, new historical series data has been calculated to analyze market insights effectively.

Our data is meticulously sourced from a variety of channels, including public announcements, our extensive network of partner accelerators and investors, conferences and self-reported data. This information undergoes rigorous daily curation on the Net0 Platform by our dedicated analysts, ensuring accuracy and consistency of the data in alignment with the scope and definitions outlined in this report.

DATA

GLOSSARY

- **Data coverage and definitions**
- **Data accuracy and validity**
- **Data sources**
- **Principles of Data Analysis**

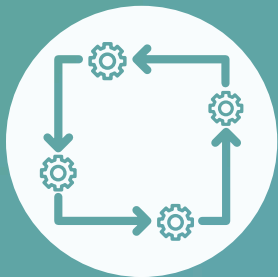


METHODOLOGY & SCOPE

When simultaneously comparing funding amounts and deal counts, the deal count refers to the total number of deals with disclosed round amounts. This distinction is crucial for maintaining clarity and precision in our analysis.

The data referenced in the present report is accurate as of 03/07/2024. It is essential to acknowledge that typical reporting delays may lead to potentially incomplete information. Nevertheless, this analysis offers valuable insights into the funding landscape of the climate technology sector, offering stakeholders a reliable overview of current trends and activities.

By leveraging comprehensive and rigorously curated data, this report aims to deliver an in-depth understanding of the evolving dynamics within the climate tech investment landscape.



METHODOLOGY & SCOPE

Conceptually aligned with the framework of the EU taxonomy for sustainable activities, Net Zero Insights refers to “Climate Tech” as encompassing any technology or innovation contributing to at least one of the six specified environmental objectives.

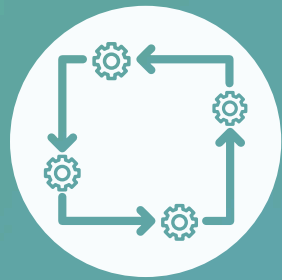
Our analysts classify each organisation based on their alignment with these environmental objectives, encompassing climate change **adaptation**, climate change **mitigation**, sustainable use and protection of **water** and marine resources, protection and restoration of **biodiversity** & ecosystem; **pollution** prevention and control; and the transition to a **circular economy**.

Centred on identifying the most pressing thematic trends in climate tech, Net Zero Insights developed a high-level framework to classify each innovation according to the main climate change challenge areas its technology or innovation aims to address. The **10 challenge areas** encompass a comprehensive range from energy and food and agriculture to industry and transports.

It’s important to note that a single organisation may be categorised under multiple environmental objectives and also make significant contributions to more than one challenge area.

CLIMATE TECH LEXICON

- Environmental objectives
- Challenge areas



METHODOLOGY & SCOPE

For a thorough analysis, Net Zero Insights uses a unique framework to discern whether a company provides breakthrough or adoption innovation and categorize the solution type as digital or physical. For consistency in the analysis, our analysts manually categorised all deals exceeding \$70 million announced in the past five years.

Breakthrough innovation entails extensive research and development, characterized by long-term efforts and innovations in the proof-of-concept phase. Conversely, **adoption** concentrates on implementing and deploying established solutions, with a focus on improving metrics like cost or efficiency.

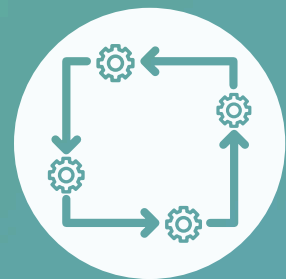
The differentiation between the **physical** and **digital** aspects of an innovation aims to determine if a business' core offering predominantly revolves around a digital or physical solution.

To compare investor types and better understand their investment activity in Climate Tech, we have created six groups that cluster investors based on their profile and funding activity.

DATA

CATEGORIZATION

- **Product – Innovation (PI) framework**
- **Investor types and categorization**



METHODOLOGY & SCOPE

- Venture investors: include venture capital firms, angels, angel groups and family offices
- Growth equity investors: include private equity firms, asset managers and investment companies
- Banks: include investment banks, commercial banks and merchant banks
- Corporations: include corporations, corporate venture capital, insurance companies and holding companies
- Governments: include governments and sovereign wealth funds
- Startup support: accelerators / incubators, competitions and prizes
- Others: all other types not included in other investor groups

In order to allow a more comprehensive understanding of the profile of corporations that are involved in funding and exit activities in the Climate Tech space, we use the GICS framework.

GICS, standing for Global Industry Classification Standard, is an industry classification methodology offered by S&P Dow Jones Indices and MSCI. To align with market changes, this alternative classification system introduced a market-oriented perspective while remaining still rooted in the microstructure of industries (1).

Considering the specificities of the climate tech market and the profile of corporations investing in it, a minor adaptation to GICS was made. Under the energy sector (2), a sub-industry for renewable energy equipment & services was added. This addition complements existing sub-industries related to Oil and gas present in the framework.

ABOUT NET ZERO INSIGHTS

Net Zero Insights is the leading data and research platform for climate tech.

Our comprehensive **Net0 Platform** offers climate innovation professionals worldwide access to thousands of startups and innovative SMEs, deals, and investors, enabling you to uncover new innovations, trends, and deals in the ever-evolving world of climate technology.

Investors, corporations, researchers and policy-makers use our platform to keep track of climate innovation and understand technology and financial trends.

Let us show you how to take advantage of data to find the right climate solutions.

[Book a demo.](#)

Follow us on LinkedIn for daily updates from the world of climate tech!



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